taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 1 of 50

United States Tax Court

T.C. Memo. 2026-115

MURPHY HOLLOW, LLC, PIEDMONT PRIVATE EQUITY MANAGER, LLC, TAX MATTERS PARTNER,
Petitioner

v.

COMMISSIONER OF INTERNAL REVENUE,
Respondent

HALES GAP, LLC, PIEDMONT PRIVATE EQUITY MANAGER, LLC, TAX MATTERS PARTNER,
Petitioner

v.

COMMISSIONER OF INTERNAL REVENUE,
Respondent

Docket Nos. 9620-21, 13346-21.[1] Filed November 5, 2026.

Anson H. Asbury, *Robert B. Gardner III*, *Ethan J. Vernon*, and *Lauren H. White*, for petitioner.

Kaitlyn N. Griffith, *Dillon T. Haskell*, *Alison K. Stump*, *Charles F. Rioux*, *Kiran F. Ahmad*, and *Abigail F. Dunnigan*, for respondent in Docket No. 9620-21.

Kaitlyn N. Griffith, *Dillon T. Haskell*, *Alison K. Stump*, *Charles F. Rioux*, *Kiran F. Ahmad*, and *Katelynn M. Sponseller*, for respondent in Docket No. 13346-21.

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[1] These cases have been consolidated for purposes of trial, briefing, and opinion.

Served 11/05/26

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 2 of 50

[*2] MEMORANDUM FINDINGS OF FACT AND OPINION

URDA, *Chief Judge*: Murphy Hollow, LLC (Murphy Hollow), and Hales Gap, LLC (Hales Gap), are two entities formed in 2016 for the purpose of buying adjacent tracts of rural, mountainous land in Tennessee. Both purchases reflected an approximate price of $1,350 per acre, with Murphy Hollow paying $1,803,789 for about 1,336 acres and Hales Gap paying $1,048,586 for approximately 777 acres. The next year they donated the two tracts to a charitable organization, claiming deductions of $26,725,000 (Murphy Hollow) and $19,420,000 (Hales Gap).

Murphy Hollow and Hales Gap borrow the shameless approach oft seen in the conservation easement oeuvre, i.e., dream up a lucrative, wholly fanciful, highest-and-best use for a property, hire a friendly appraiser willing to check his integrity at the door to provide palpably outlandish values, and entice tax-motivated investors to put money into the scheme to reap tax deductions. It does not take x-ray vision to see through this gossamer-thin stratagem.

We conclude that deductions for both donations must be denied in their entirety because neither Murphy Hollow nor Hales Gap obtained a qualified appraisal. The evidence establishes that each retained the services of an appraiser knowing full well that he would falsely overstate the property values. We hold that penalties for gross valuation misstatement are appropriate in both instances. We further hold that the 20% accuracy-related penalty applies to the portion of the underpayment resulting from our conclusion that Murphy Hollow is not entitled to its deduction.[2]

FINDINGS OF FACT

The following facts are derived from the pleadings, stipulations of facts with attached exhibits, and the evidence admitted at trial. Murphy Hollow and Hales Gap are Georgia limited liability companies (LLCs) classified as TEFRA[3] partnerships at all relevant times. Petitioner in both cases, Piedmont Private Equity Manager, LLC (Piedmont

[2] The Commissioner has conceded the 20% accuracy-related penalty with respect to Hales Gap.

[3] Before its repeal, the Tax Equity and Fiscal Responsibility Act of 1982 (TEFRA), Pub. L. No. 97-248, §§ 401–407, 96 Stat. 324, 648–71, governed the tax treatment and audit procedures for many partnerships, including Murphy Hollow and Hales Gap.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 3 of 50

[*3] Manager), is the tax matters partner and manager of both Murphy Hollow and Hales Gap. Murphy Hollow and Hales Gap had their principal places of business in Georgia when the petitions were timely filed.

I. *Background*

A. *Messrs. Sofge and Hall*

Mark Sofge and Walter Hall met in the early 2000s while working in Wachovia Bank's wealth management division. Mr. Sofge, a certified financial planner and registered investment advisor, was Wachovia's senior vice president and partner in the wealth management and financial planning departments. Mr. Hall managed tax planning units and had previously held certifications in trust and financial advisory services and as a real property appraiser. Tax planning was at the core of their work, which also involved banking, real estate development, and asset management.

So things stood until 2008, when, as Mr. Hall put it, the banking industry went into "freefall" with a "nuclear winter" of real estate problems. More personally, the financial crisis also cost Messrs. Sofge and Hall their jobs.

Fueled by Starbucks coffee and a can-do spirit, Messrs. Sofge and Hall pivoted to form Yukon Property Consultants, LLC (Yukon), a consulting business that advised banks on how to rid their books of distressed real estate assets. Messrs. Sofge and Hall understood that many banks had acquired real estate assets (through forfeiture or other mechanisms) that could not be moved given the state of the market but nonetheless incurred ongoing carrying costs (maintenance, security, taxes, and periodic write-downs). Yukon devised exit strategies for banks holding such property, including by means of charitable donations, which in their experience could produce a better after-tax result than an outright sale in a turbulent market.

From this start, it was but a hop, skip, and a jump to raising private equity from wealthy investors interested in federal and state tax incentives in order to buy banks' distressed real estate assets at cut-rate prices, then donating the property to a charitable organization to qualify for, inter alia, the charitable contribution deduction enshrined in

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 4 of 50

[*4] section 170.[4] This strategy offered a more straightforward solution for banks, allowed high-income investors to unlock tax credits and deductions, and brought sizable fees into the coffers of Messrs. Sofge and Hall.

B. *The Playbook*

In 2012 Messrs. Sofge and Hall formed Piedmont Private Equity, LLC (Piedmont[5]), which served as the nerve center for these endeavors. In 2015 Tim Monks, an accountant, was added as a minority owner. By the end of 2017 Piedmont had engaged in over 60 similarly structured transactions (including the two at issue here), which entailed the creation, management, and control of approximately 100–150 distinct entities.

These transactions followed a general pattern. Piedmont would offer for sale to accredited investors membership interests in a Piedmont-affiliated LLC (FundCo), which in turn would purchase up to a 97% interest in a specific Piedmont-affiliated LLC (LandCo) that had acquired a parcel of vacant land for donation. This structure allowed the investors in the FundCo to receive pro rata shares in the deduction generated by the LandCo's subsequent donation of the property to a charitable organization, with a standard return of $3.50 in deductions for every dollar invested. Although the offering memorandum suggested that investors were free to choose to hold the property for development, this option was window-dressing; every Piedmont transaction resulted in a donation.

To obtain the money to buy the property destined for donation, Piedmont routinely used a separate capital raise employing an annual investment fund denominated the Cumulus Fund, starting with Cumulus Fund I in 2012 up through Cumulus Fund V in 2016. As most relevant here, the Cumulus Fund V confidential offering memorandum promised investors a return of 30%. The funds could realize this strong

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[4] Unless otherwise indicated, statutory references are to the Internal Revenue Code, Title 26 U.S.C. (I.R.C. or Code), in effect at all relevant times, regulation references are to the Code of Federal Regulations, Title 26 (Treas. Reg.), in effect at all relevant times, and Rule references are to the Tax Court Rules of Practice and Procedure. All monetary amounts are rounded to the nearest dollar.

[5] By way of shorthand, we will refer to Piedmont as the vehicle used by Messrs. Sofge and Hall in their charitable-contribution business, while recognizing that they employed numerous affiliated entities, such as Yukon and Piedmont Manager, in these deals. We will refer to specific affiliated entities to the extent necessary.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 5 of 50

[*5] return because Piedmont-controlled entities were on both sides of the deal.

Specifically, each Cumulus Fund held the majority of the interests in the LandCos used to acquire the specific tracts of property for that year's transactions. A Cumulus Fund would derive its profit from the difference between the price the LandCo paid for the vacant property and the sale of the Cumulus Fund's interests in the LandCo.[6] To facilitate the land purchases, the Cumulus Funds entered into revolving loan agreements with Atlantic Capital Bank (Bank) using the underlying land as collateral.

These contortions would be for naught unless Piedmont secured properties that could deliver returns sufficient to fuel its tax scheme. Before buying a parcel of property, Piedmont thus needed assurance that it would be appraised for a sufficiently high value that could fulfill the rate of return touted to the assorted investors.

By 2015 that assurance was being supplied by an appraiser named Clayton Weibel and his firm, Weibel & Associates. Mr. Weibel's work with Piedmont proceeded in stages. Piedmont would first request a "restricted use appraisal," instructing Mr. Weibel to "consider the *property's current highest and best use*, typically to be for real estate development." Mr. Weibel had no wiggle room to disregard the purported highest and best use as real estate development.

Before Piedmont would pay the $750 fee Mr. Weibel charged for a restricted use appraisal, it required him to provide a "preview number," i.e., an estimate of the value that would appear in the report. Mr. Weibel would supply this preview number "in a short period of time" (in Mr. Hall's words), which could be as little as 15–20 minutes. If the preview number was too low to serve its purposes, Piedmont would not proceed with the restricted use appraisal report or purchase the property.

If the preview number was satisfactory for Piedmont's ends, Mr. Weibel would prepare the restricted use appraisal, and later, a final appraisal report to support the fair market value of the subsequent donation on the particular LandCo's tax return. These appraisals were financial boons for Mr. Weibel, who charged approximately

[6] Another Piedmont affiliate owned approximately 20% of the respective Cumulus Fund's interests and was entitled to all charitable contribution deductions.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 6 of 50

[*6] $10,000–$20,000 more for a donation appraisal than for a typical bank appraisal.

Mr. Weibel prepared five donation appraisals for Piedmont projects in 2016 and ten in 2017, with six of the ten issued on November 6, 2017. Mr. Weibel routinely appraised the properties around ten times the price the LandCo paid for the parcel of property, i.e., if a LandCo paid $2.3 million, Mr. Weibel appraised the property in the ballpark of $23 million.

Mr. Weibel did not generate the only appraisal numbers available to Piedmont. In support of the Bank's revolving loan agreements, CBRE, a national brokerage and appraisal firm, also performed appraisals of the various pieces of property that Piedmont planned to buy. Mr. Sofge knew that there was a wide discrepancy between the numbers produced by Mr. Weibel and CBRE's appraisals. Piedmont kept a detailed spreadsheet that illustrated this stark contrast, tracking, inter alia, the acquisition price per acre, the restricted use appraisal valuation, and the bank appraisal value.[7]

As part of its overall strategy, Piedmont requested that the charity that was to receive a property contribution agree to a three-year holding period during which it would not sell the property. This request stemmed from concern that a sale for less than the deduction amount claimed on the LandCo's tax return would require the charity to file Form 8282, Donee Information Return, which would flag the discrepancy for the IRS.

II. *Murphy Hollow and Hales Gap*

A. *The Properties and Their Environs*

The Murphy Hollow and Hales Gap properties sit side-by-side on the Tennessee-Georgia state line in the southeastern part of unincorporated Marion County, Tennessee.

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[7] Although Mr. Sofge testified at trial that he was not skeptical of the Weibel appraisal numbers despite the persistent chasm between those numbers and the bank appraisals (on the ground that CBRE purportedly disregarded the properties' highest and best use), we find this testimony not credible, especially in light of Mr. Sofge's long real estate experience. Our credibility finding is further underscored by the fact that Cumulus Fund V itself advised its investors not to construe the appraised values as the "current, realizable value of the property."

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 7 of 50

[*7] Murphy Hollow property:



Hales Gap Property:



The properties are approximately 12 miles west of Chattanooga, Tennessee, near the Tennessee River and Lake Nickajack on a landform

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 8 of 50

[*8] called the Cumberland Plateau. According to the National Park Service, the Cumberland Plateau is a large, flat-topped tableland that rises over 1,000 feet above the region around it and runs from north-central Alabama to the western New York border with Pennsylvania. *See Nat'l Park Serv.*, *Geology and History of the Cumberland Plateau* 1, www.nps.gov/biso/planyourvisit/upload/webgeo.pdf (last visited Oct. 29, 2026). The National Park Service further states that the Cumberland Plateau "has often acted as a barrier to man and nature's attempts to overcome it," characterized by "rugged terrain" and "typically thin and infertile" soils. *Id.*

The properties themselves resemble this description, with each featuring a steep and hilly terrain ranging approximately 800 feet between highest and lowest points. The properties lack any public utilities aside from electricity. And the U.S. Department of Agriculture Custom Soils Resource Report for the properties shows the soils to be "very limited" on most parts of the properties, including for use in connection with septic tank absorption fields (as would be necessary given the lack of public water or sewer system).

Although a few paved and gravel roads provide access to the properties, the properties themselves do not contain any effective road frontage. As the appraiser for the then owner described the properties in 2016, a "series of woods roads provides access to most portions . . . however, these roads are in fair to poor condition and may not be passable in the future without repair and maintenance." He further noted that "[a]reas of high degree slope have limited access."

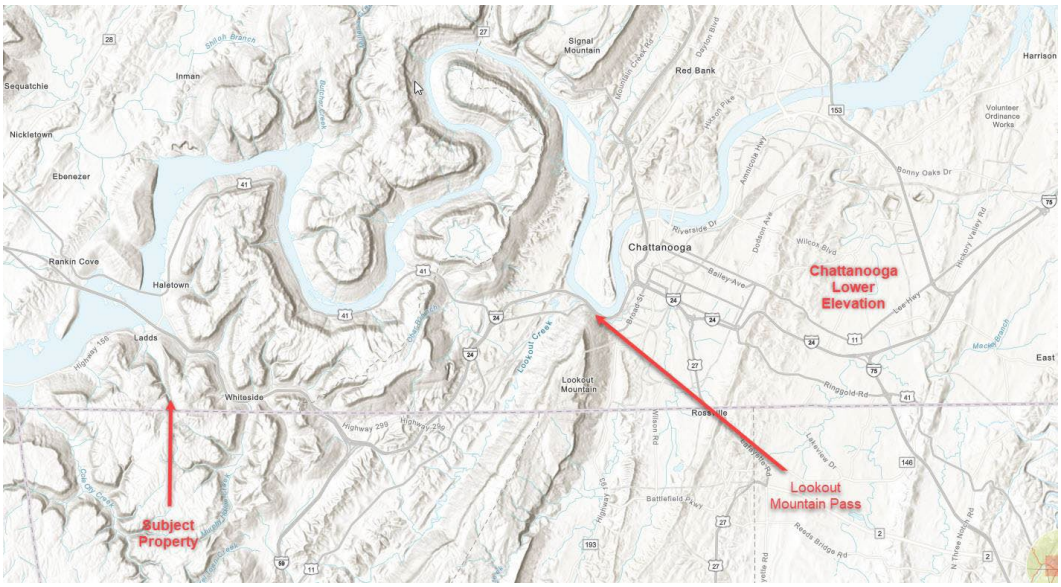
Consistent with the challenging topography of the Cumberland Plateau, Marion County featured primarily rural residential uses with some sparsely situated commercial development. Most land was used for agricultural purposes and timber production. Although property in unincorporated Marion County was not subject to zoning restrictions, any subdivision development required approval by the Marion County Regional Planning Commission and compliance with the Marion County Subdivision Regulations.

Marion County experienced little population growth between 2010 and 2017, with the population essentially holding steady around 28,500 people. This trend tracked numbers seen in most surrounding counties on the Cumberland Plateau.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 9 of 50

[*9] The one neighboring county to buck this trend, Hamilton County, lies mostly outside the Cumberland Plateau and includes Chattanooga, the fourth largest city in Tennessee. Chattanooga sits primarily within the valley on the east side of the Tennessee River. Between 2010 and 2017 Hamilton County saw population growth exceeding 5%, ostensibly driven by new factories built in the northeastern part of Chattanooga and accompanying investment in infrastructure.

The western part of Hamilton County, which sits on the Cumberland Plateau and features terrain more similar to that seen on the Hales Gap and Murphy Hollow properties, tells a different tale. For example, the population of the Town of Lookout Mountain, which sits between the properties and Chattanooga, declined by approximately 100 people between 2000 and 2017.



B. *Sequatchie Pointe*

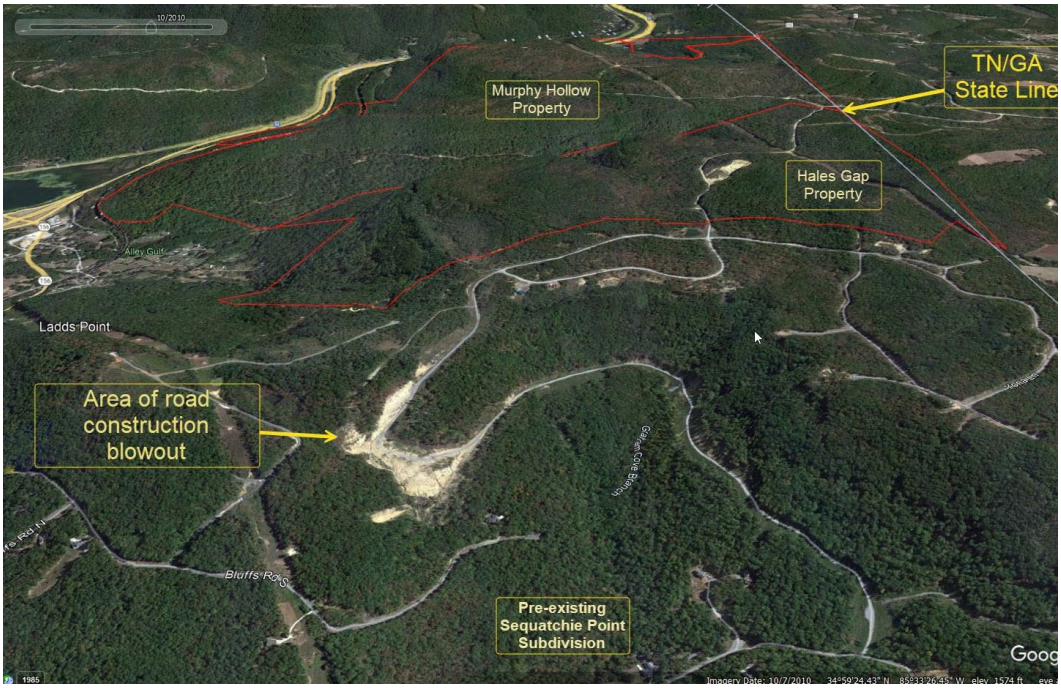
The Murphy Hollow and Hales Gap properties were carved out of 3,448.44 acres that had been assembled by J.J. Detweiler Enterprises, Inc. (Detweiler), for a planned development known as Sequatchie Pointe. Most of this land sat in Marion County, Tennessee, except for 332.83 acres just over the state line in Dade County, Georgia. Detweiler paid approximately $7.05 million for the Sequatchie Pointe property, or $2,045 per acre.

Detweiler planned to build a substantial residential development straddling Tennessee and Georgia, with amenities including a

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 10 of 50

[*10] clubhouse, a pool, and an equestrian center. Although Detweiler planned to provide public water to the lots in Georgia, public water was not available for the lots in Tennessee, which required private wells.

Road access to the Sequatchie Pointe property was limited, so Detweiler attempted to build out a road called Teladuchee Trail (west of the Hales Gap property) as the main entrance to the site, as well as another road that was to lead to a cul-de-sac. Teladuchee Trail was built on a steep slope with a sharp bend, and its construction resulted in a blowout leading to erosion and pollution that killed aquatic life in a nearby stream.



Given the chance of "catastrophic failure" and the failure of Detweiler to stabilize the roads and install adequate protections, Tennessee sued Detweiler for a violation of the Tennessee Water Quality Control Act. The Chancery Court of the State of Tennessee granted summary judgment to Tennessee and ordered Detweiler (or any successor) to reconstruct the road according to the appropriate standards. The road was never repaired and remained closed during all times pertinent to this case.

C. *Foreclosure*

On October 5, 2011, ArborOne ACA (ArborOne), which had financed Detweiler's undertaking, foreclosed on the Sequatchie Pointe

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 11 of 50

[*11] property. ArborOne thereafter transferred the property to a holding company it created, A-1 Sequatchie Pointe, LLC (A-1 Sequatchie), for sale. Nearly four years passed before the property could be listed because of litigation with Tennessee and Detweiler and negotiation with individuals who had purchased Sequatchie Pointe lots.

On July 20, 2015, A-1 Sequatchie listed for sale 2,588.31 acres of the Sequatchie Pointe property for $5 million, or $1,932 per acre. This offering encompassed 2,392.24 undeveloped acres and 196.07 acres in development, comprising 2 finished lots and 94 platted lots with no infrastructure. With no takers, A-1 Sequatchie dropped its price to $3.5 million, or $1,352 per acre on April 5, 2016.

III. *The Acquisition*

A. *Terms, Funding, and Vehicles*

The Sequatchie Pointe listing came to the attention of Messrs. Sofge and Hall. On September 8, 2016, Cumulus Acquisitions, LLC (Cumulus Acquisitions), submitted a term sheet, offering to purchase 2,135 undeveloped acres of the Sequatchie Pointe property for $2,882,250, or $1,350 per acre.

Later that month, Cumulus Fund V entered into a revolving loan agreement with the Bank. The agreement provided for a maximum credit of $6 million, to be used for the acquisition of real properties subject to the Bank's prior approval. The agreement conditioned all loans on, inter alia, an updated appraisal of the property at the Bank's request. Messrs. Sofge and Hall, as well as various Piedmont-affiliated entities, were guarantors of the loan.

On September 30, 2016, Cumulus Acquisitions entered into a purchase and sale agreement with A-1 Sequatchie to purchase the 2,135 acres of land including the Murphy Hollow and Hales Gap properties for $2,882,250, or $1,350 an acre. The agreement provided for a 60-day due diligence period (during which the agreement could be canceled without any repercussions).

Cumulus Acquisitions subsequently assigned its rights under the purchase and sale agreement to Murphy Hollow and Hales Gap, two LandCos that had been formed by Cumulus Fund V and Piedmont Manager. According to the operating agreements of both Murphy Hollow and Hales Gap, Piedmont Manager was responsible for

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 12 of 50

[*12] determining whether to pursue an investment or donation strategy with respect to the real property owned by the LLC, which the members thereafter would endorse or reject.

B. *Appraisals and Purchase*

1. *The Bank's CBRE Appraisals*

Consistent with the loan agreements, the Bank hired CBRE to appraise the properties. As of November 23, 2016, CBRE valued the 1336.14-acre Murphy Hollow property at $1.85 million and the 776.73-acre Hales Gap property at $1.05 million.

CBRE described the strengths of both properties as their location near the Tennessee River and Lake Nickajack, as well as the access from I-24. It saw the properties' common weaknesses to be the hilly topography, the fact that only electricity was available, and that "the area may not support large scale residential development due to the small population and lack of existing development."

As to the last of these points, CBRE noted that the subject neighborhood featured "primarily rural residential uses with some sparsely situated commercial development," with the immediate area showing "single-family residential homes and vacant land." CBRE further opined that the "population is expected to experience slight growth over the next several years, which is generally consistent with the historical trend."

In determining the fair market values of the properties, CBRE considered their highest and best use. Noting that any development would be governed by county building codes and that the properties' "hilly topography may hinder any future development," CBRE concluded that "new development is not financially feasible at this time." Specifically, it stated that "there is risk in the residential market and most investors would not move forward with new construction . . . on a speculative basis." "Therefore, the highest and best use of the site, as vacant, would be to hold for future residential development as economic conditions improve and the neighborhood experiences growth." CBRE then determined the properties' respective fair market values looking at similar tracts of land in the neighborhood.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 13 of 50

[*13] 2. *ArborOne Appraisal*

ArborOne also commissioned a contemporaneous appraisal as of December 2016 from Piedmont Appraisers, Inc., a local firm (ArborOne Appraisal). The ArborOne Appraisal analyzed the full 2,392 undeveloped acres (of which both properties at issue here were a part) and concluded that the fair market value (FMV) was $2 million, or $836 per acre.

The ArborOne Appraisal determined the highest and best use of the property was for timber production, recreation, and some form of future development. As to the latter point, the appraisal noted that the subject property "contains an appreciable amount of premium 'Brow' line area offering panoramic views of Lake Nickajack, the Tennessee River corridor, and other landmarks that have been proven to be of exceptional appeal to the market." The ArborOne Appraisal further explained that Chattanooga "has an increasing population, expanding commercial and industrial employment base and a cost of living superior to many competing areas."

The property's attractive elements were only half the story, as the ArborOne Appraisal made clear. "The subject property is located further from Chattanooga than potentially competing developments of 'Brow Line' properties" and demand for such properties "will not be sufficient to support development until more of those competing developments approach total liquidation with demand shifting to the subject neighborhood." The ArborOne Appraisal further explained that "[c]urrent national economic trends, persistent high unemployment, and restrictive lending standards have produced low sales volume and stable to declining neighborhood property values." The ArborOne Appraisal reflected a belief that "anticipated property values will increase once national economic trends stabilize and area population growth produce increasing demands for residential, commercial, and industrial property."

When considering the property's highest and best use, the ArborOne Appraisal noted that it would be physically possible to continue to use the property for timberland or recreation, or to develop it for residential, commercial, or industrial use. The appraisal pointed out, however, that areas considered environmentally sensitive and areas of high-degree slope "limit all of the aforementioned uses." The ArborOne Appraisal concluded that development at that time would not be financially feasible "[d]ue to the location of the subject property, the

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 14 of 50

[*14] amount of similar vacant and developed land in the subject neighborhood, [and] the physical limitations of the property." Accordingly, the appraisal concluded that the highest and best use was in transition from its current use for timber production and recreation to some form of development.

3. *Mr. Weibel's Restricted Use Appraisals*

On October 27, 2016, Mr. Weibel was engaged to provide restricted use appraisals for the Murphy Hollow and Hales Gap properties (having previously supplied acceptable preview numbers). Mr. Weibel hired an independent contractor—an appraiser named Lucus Von Esh—to perform the bulk of the leg work. Under this arrangement, Mr. Weibel provided the highest and best use and comparable sales and determined the final values of the property.

Mr. Weibel's restricted use appraisals determined a fair market value of $27,810,000 for 1,390.52 acres, which included both the 1336.14-acre Murphy Hollow property and an adjacent 54.38-acre tract, and $19,420,000 for the 776.73 acre Hales Gap property as of December 10, 2016. The appraisal reports explicitly advised that they "present[] no discussion of the reasoning and analyses that were used in the appraisal process to develop the opinion of value."

Mr. Weibel asserted that the highest and best use for both properties was "residential development or a similar use." The appraisals did not remark upon the sites' hilly terrain, the lack of on-property roads, or the paucity of utilities in assessing physical possibility, but noted accessibility to major traffic arteries, the presence of single-family residences, and "adequate" utilities. As to financial feasibility, the appraisals stated that there were "a number of homes . . . within the neighborhood" and "[p]opulation and housing in the surrounding area and Southeast United States is projected to increase, thus creating demand for new housing, construction projects, road improvements, and supporting uses." The appraisals concluded that the sole legally permissible and physically possible use of the properties that produced positive cashflow would be a "rural residential development close to commercial areas that provides recreational area amenities to the home owners."

Relying on this highest and best use, the appraisals focused on waterfront homes despite the fact that neither property actually had water frontage. According to the appraisals, houses with water frontage

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 15 of 50

[*15] are "worth more than double of the value of homes overall." After considering, but not using, sales of waterfront properties in Florida, Texas, and Georgia, the appraisal reports looked to "comparable sales that include frontage along bodies of water in the subject area" including one sale from Hamilton County and one near Knoxville. The four remaining comparables were drawn from Atlanta, North Carolina, and two from York County, South Carolina. The prices per acre of the purported comparable sales ranged from $13,910 to $76,389, with an average of $25,860. The appraisal reports ultimately assigned a price per acre of $25,000 for the Hales Gap property and $20,000 for the Murphy Hollow property.

C. *Sale*

The restricted use appraisal numbers sufficed for Piedmont to greenlight both projects. On December 21, 2016, A-1 Sequatchie sold the properties to Murphy Hollow and Hales Gap for $1,803,789 and $1,048,586, respectively, which works out to $1,350 per acre for each.

IV. *Donation*

A. *Refining Numbers*

After the acquisition of the properties, Messrs. Weibel and Von Esh polished their restricted use appraisals into final versions. In engagement letters of April 17, 2017, they were instructed to consider (1) the respective property's current highest and best use, "typically to be for real estate development" and (2) "the property as a donation of the fee interest in the real estate to a not for profit land trust or municipality."

Messrs. Weibel and Von Esh thereafter submitted draft appraisals for the Murphy Hollow and Hales Gap properties, which were sent to Raymond Veal, a certified appraiser with Integra Realty Resources, on May 26, 2017, for his review. A few days later, on May 30, 2017, Mr. Veal sent an email to Messrs. Weibel and Sofge (who forwarded the email to Mr. Hall), criticizing multiple aspects of the reports, including the reliance on outdated regional data and the failure to account for the specific difficulties inherent in the sale of large tracts. Mr. Veal questioned the focus on waterfront lot values, noting that the property "does not have lake frontage" and that existence of "some [l]ake views" does not explain "the reason for such a significant [l]ake influence on the value." He also leveled criticisms at the comparables selected, finding the age, size, and locations to be problematic. In particular, he

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 16 of 50

[*16] expressed disappointment that "of the six sales [that] were selected only one sale was actually in Tennessee and none . . . in the Chattanooga area. It's hard to believe that no sales of development land in the vicinity of Chattanooga were used."

Messrs. Weibel and Von Esh revised their appraisal reports in light of these comments. In addition to updating information, they offered additional explanation regarding the "influence" of Lake Nickajack (despite lack of "direct frontage"), removed two inapposite sales, and added a Tennessee sale. On June 23, 2017, Messrs. Weibel and Von Esh transmitted revised appraisal reports, which determined fair market values of $26,725,000 for the Murphy Hollow property and $19,420,000 for the Hales Gap property. A few days later, Mr. Veal completed his review of both appraisals, giving high marks to both.

B. *Recruiting Investors*

As the appraisals rounded into shape, Messrs. Sofge and Hall took the next steps in their highly choreographed dance. In May 2017 specific FundCos associated with each property were formed to raise capital from accredited investors. Confidential offering memoranda for each went out in July, with Hales Gap seeking $4,858,000, and Murphy Hollow aiming for $6,684,000.

The confidential offering memoranda explained that the respective FundCo would purchase a 97% interest in the associated LandCo (which held the property), with management pursuing either an investment strategy or a charitable donation strategy, subject to investor approval. The former strategy contemplated "short-term investment holding for future residential development," with an eye to selling each property for the appraised values. The donation strategy emphasized members' rights "to receive allocated tax benefits" in the same amounts, which as of 2017 could "offset up to 30% of an individual partner's adjusted gross income." The memoranda also discussed risks inherent in both strategies, spending on the investment strategy a small fraction (two paragraphs) of the space dedicated to the donation strategy (seven pages).

In recruiting investors for these and other 2017 transactions, the Piedmont team looked for high-income individuals interested in harvesting the tax deductions seeded in the donation strategy. The investor communications focused almost exclusively on the potential tax deductions, bearing pithy subject lines such as "Effective tax planning

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 17 of 50

[*17] strategy," "Income Tax Strategy," or "Implementing the tax planning strategy."

As Mr. Hall explained to clients, "we are *all* tax guys . . . We've grown from a consulting business to a private equity backed operation with a legacy of creating very high quality tax planning opportunities for individuals in high, marginal tax brackets." Specifically, Piedmont "offer[s] high quality, income tax mitigation opportunities to public accounting firms . . . If you'd like to . . . bring[ ] your effective tax rate down without taking undue tax risk, I'm happy to show you how." In another typical email, Mr. Hall stated: "Mike tells me that you're having another great year and might have a need to hear about one of our projects designed to mitigate the tax liability that comes with such success." The response betrayed no illusions about the nature of the investment: "Thank you . . . but we don't need to meet . . . Vince will still invest in the fee simple tax scheme."

Of course, some investors needed reassurance. Mr. Hall informed one potential client that "[w]e are diligent in exposing our clients to as little risk as is possible while making a meaningful difference in their tax planning," while telling another that "[g]iven all the business risks that you've taken in your professional life, this investment pales by comparison." Other investors needed no hand-holding: "Ok, did a quick read. Assuming max marginal tax rate, to shelter $3MM of [adjusted gross income] . . . does that translate to 65 [membership] units to purchase?"

For both the Murphy Hollow and Hales Gap FundCos, Piedmont touted a return of $3.80 in tax deductions for every dollar invested, which represented a premium over the normal Piedmont ratio of $3.50 in deductions for every dollar. To facilitate the pitch, the Piedmont team generated tax calculators that illustrated state and federal tax savings that could accompany charitable donations.

C. *Final Steps*

As the end of year approached, Piedmont prepared to complete the transactions. Messrs. Weibel and Von Esh finalized the appraisals, which determined fair market values of $26,725,000 for the Murphy Hollow property and $19,420,000 for the Hales Gap property as of November 6, 2017. The changes to the comparable properties in response to Mr. Veal's critiques reduced the average per acre of the comparables from $25,860 in the restricted use appraisals for both

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 18 of 50

[*18] properties to $18,871 for the Murphy Hollow property and $20,163 for the Hales Gap property. The appraisals nonetheless deployed the same per-acre value as in the restricted use appraisals, i.e., $20,000 for Murphy Hollow and $25,000 for Hales Gap.[8] Mr. Veal again did his part, providing additional appraisal reviews giving the final appraisals clean bills of health.

The FundCos had raised $6,684,000 of capital in the case of Murphy Hollow and $4,858,000 relating to Hales Gap. On November 17, 2017, they paid Cumulus Fund V $5,531,000 for a 97% interest in Murphy Hollow and $3,855,000 for the same interest in Hales Gap.

On December 26, 2017, Murphy Hollow and Hales Gap donated the Murphy Hollow and Hales Gap properties to Southern Conservation Trust (Southern), a section 501(c)(3) organization. At Piedmont's request, Southern agreed not to sell the properties for at least three years. On its 2017 federal return, Southern reported values of $1,372,600 and $849,600 for the Murphy Hollow property and the Hales Gap property, respectively, with each amount including a $20,000 cash donation to Southern.

Southern respected the three-year holding period, demurring when an interested buyer (John Meeks) approached. In 2021, after the expiration of the three-year holding period, Southern informed Mr. Meeks that a potential sale of the properties for $2.4 million had fallen through. Southern thereafter sold the Murphy Hollow and Hales Gap properties to Mr. Meeks for $1.2 million in total. Mr. Meeks used the property to sell timber.

D. *The Payout*

Piedmont derived considerable financial gains from its charitable donation business in 2017. A Piedmont affiliate wholly owned by Messrs. Sofge and Hall held a 20% interest in Cumulus Fund V, which netted a payment of $3,975,000. As explained in its confidential offering memorandum, Cumulus Fund V further paid Piedmont (1) a $300,000 consulting fee, (2) 1% of Mr. Weibel's appraised values (from all 2017 donation projects) as a real estate consulting fee, and (3) an additional 1% of Mr. Weibel's values as an asset management fee.

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[8] The sole difference between the restricted use appraisal value and the final appraisal value stemmed from the final appraisal's use of the Murphy Hollow property's correct acreage.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 19 of 50

[*19] The individual projects themselves also brought healthy remuneration. As relevant here, Murphy Hollow and Hales Gap each agreed to pay Piedmont a consulting fee made up of an upfront payment of $60,000, followed by a payment upon closing of $380,000 for Murphy Hollow and $280,000 for Hales Gap. Piedmont also received an annual management fee of $10,000 from both Murphy Hollow and Hales Gap. For its part, Yukon received $278,100 and $194,200 in consulting fees relating to Murphy Hollow and Hales Gap, respectively.

V. *Tax Filing and Examination*

In March 2018 Murphy Hollow timely filed its 2017 federal partnership return, claiming a $26,725,000 noncash charitable contribution deduction related to its donation of 1,336.14 acres of the Murphy Hollow property. Hales Gap likewise timely filed its 2017 partnership return, on which it claimed a $19,420,000 noncash charitable contribution deduction related to its donation of 776.73 acres of the Hales Gap property.

These values were supported by the final appraisal reports of Messrs. Weibel and Von Esh, which were attached to the returns. By the time of the filing of the returns, Piedmont had the benefit of multiple prior appraisals from Weibel & Associates, which routinely determined property values many times the purchase price:

Appraisal Date	*Project Name*	*Purchase Price*	*Appraised Value*
11/1/2016	Organic Farms, LLC	$700,000	$6,370,000
11/2/16	Firefly Run, LLC	672,129	5,970,000
11/2/16	West Point Lake, LLC	1,000,000	7,940,000
11/4/16	Clear Creek Land, LLC	900,000	9,680,000
11/4/16	Carters Lake Land, LLC	1,276,980	13,100,000
11/6/17	Hudson Chapel Road, LLC	716,500	7,160,000
11/6/17	Azalea Point Landing, LLC	1,913,220	19,130,000
11/6/17	Bramblevine Circle, LLC	676,780	7,125,000
11/6/17	Coursey Lake, LLC	1,215,955	13,160,000

The Internal Revenue Service (IRS) subsequently issued notices of final partnership administrative adjustment (FPAA) to both Murphy Hollow and Hales Gap. The IRS determined that neither Murphy Hollow nor Hales Gap had established entitlement to a charitable

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 20 of 50

[*20] contribution deduction under section 170 and accompanying regulations. In the alternative, the IRS determined that Murphy Hollow had failed to establish a value exceeding $1,545,000 for its charitable contribution and that Hales Gap had failed to establish any value whatsoever.

The IRS also asserted a variety of penalties against both, including the 40% gross valuation misstatement penalty under section 6662(h) and the 20% accuracy-related penalties under section 6662(c), (d), and (e).[9] Piedmont Manger timely petitioned this Court for readjustment in both cases.

OPINION

I. *Burden of Proof*

Generally, the IRS's adjustments in an FPAA are presumed correct, and the taxpayer bears the burden of proving them wrong. *See* Rule 142(a); *Welch v. Helvering*, 290 U.S. 111, 115 (1933); *Crescent Holdings, LLC v. Commissioner*, 141 T.C. 477, 485 (2013). The taxpayer also bears the burden of proving entitlement to any deductions claimed. *INDOPCO, Inc. v. Commissioner*, 503 U.S. 79, 84 (1992).

Section 7491 provides that the burden of proof on a factual issue may shift to the Commissioner if the taxpayer satisfies specified conditions. To trigger such a shift, a taxpayer must have "introduce[d] credible evidence with respect to [that] factual issue," I.R.C. § 7491(a)(1), and must have "complied with the requirements under this title to substantiate any item," I.R.C. § 7491(a)(2)(A). In the case of a partnership, however, this rule applies only if the partnership meets specific net worth requirements. I.R.C. § 7491(a)(2)(C). Piedmont Manager, petitioner in both of these consolidated cases, has not established that those requirements have been met.

In any event, the resolution of the issues in these cases does not depend on which party has the burden of proof. When each party has satisfied its burden of production, then the party supported by the weight of the evidence will prevail, and a shift in the burden of proof has

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[9] The Commissioner determined, but later conceded, the 20% reportable transaction penalty under section 6662A with respect to both entities. He likewise conceded the 20% accuracy-related penalty with respect to Hales Gap. The parties have stipulated that the Commissioner complied with section 6751(b)(1) for the penalties that remain at issue.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 21 of 50

[*21] real significance only in the event of an evidentiary tie. *See Knudsen v. Commissioner*, 131 T.C. 185, 189 (2008), *supplementing* T.C. Memo. 2007-340. We do not perceive an evidentiary tie in these cases and are able to resolve the issues on the preponderance of the evidence. *See id.*; *Schank v. Commissioner*, T.C. Memo. 2015-235, at *16.

II. *Deduction for a Charitable Contribution of Property*

A. *In General*

Section 170(a) allows a deduction for a charitable contribution made within a taxable year. If the donor makes a gift of property other than money, the amount of the contribution is generally equal to the fair market value of the property at the time of the gift. *See* Treas. Reg. § 1.170A-1(c)(1); *see also Malibu Valley Land, LLC v. Commissioner*, T.C. Memo. 2026-68, at *33; *Lake Jordan Holdings, LLC v. Commissioner*, T.C. Memo. 2025-123, at *30.

Section 170(f)(11)(D) and (E) further provides that a charitable contribution deduction exceeding $500,000 must be accompanied by, inter alia, a qualified appraisal by a qualified appraiser. The Code defines both terms. A "qualified appraisal" is one that (1) meets requirements set forth by "regulations or other guidance prescribed by the Secretary" and (2) "is conducted by a qualified appraiser in accordance with generally accepted appraisal standards and any regulations or other guidance prescribed." I.R.C. § 170(f)(11)(E)(i). The term "qualified appraiser" means an individual who, inter alia, "meets such other requirements as may be prescribed by the Secretary in regulations or other guidance." I.R.C. § 170(f)(11)(E)(ii)(III).

B. *Qualified Appraiser Requirement*

The Commissioner argues that Messrs. Weibel and Von Esh were not "qualified appraisers" under Treasury Regulation § 1.170A-13(c)(5)(ii). That regulation provides that an appraiser is not qualified if "the donor [here, Murphy Hollow and Hales Gap] had knowledge of facts that would cause a reasonable person to expect the appraiser [here, Messrs. Weibel and Von Esh] falsely to overstate the value of the donated property." *Id.*

The "knowledge" requirement in Treasury Regulation § 1.170A-13(c)(5)(ii) implicates the donor's actual or constructive knowledge. *Oconee Landing Prop., LLC v. Commissioner*, T.C. Memo. 2024-25, at *39, *supplemented by* T.C. Memo. 2024-73. "In gauging a

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 22 of 50

[*22] partnership's 'knowledge,' we look to the knowledge of the person(s) with ultimate authority to manage the partnership . . . ." *Paul-Adams Quarry Tr., LLC v. Commissioner*, T.C. Memo. 2025-112, at *36; *see also Ranch Springs, LLC v. Commissioner*, 164 T.C. 93, 125–26 (2025); *Rock Cliff Rsrv., LLC v. Commissioner*, T.C. Memo. 2025-73, at *24. "A partnership cannot avoid the application of the regulation merely by communicating with an appraiser through its agents or its manager's agent . . . ." *Paul-Adams Quarry*, T.C. Memo. 2025-112, at *36; *accord Oconee Landing*, T.C. Memo. 2024-25, at *44 (holding that, for purposes of assessing whether there was collusion between an appraiser and a partnership, "[c]ommunication can occur directly or can be accomplished indirectly through agents and intermediaries").

The regulation focuses on a donor's knowledge of facts about the appraiser. *Paul-Adams Quarry*, T.C. Memo. 2025-112, at *36. It does not disqualify an appraiser who incompetently or carelessly overstates the value. *Id.* Nor does it knock out an appraiser because the donor knew either (1) that the appraiser had overstated the value or (2) facts about the property that cause the value to be overstated. *Id.* Rather, disqualification occurs when the donor knows facts about the appraiser that give rise to the expectation that the appraiser would falsely overstate the value. *Id.*

Disqualification will occur, for example, if "the donor and the appraiser make an agreement concerning the amount at which the property will be valued and the donor knows that such amount exceeds the fair market value of the property." Treas. Reg. § 1.170A-13(c)(5)(ii); *see also N. Donald LA Prop., LLC v. Commissioner*, T.C. Memo. 2026-19, at *39; *Oconee Landing*, T.C. Memo. 2024-25, at *39–45 (finding that an appraiser was not "qualified" by virtue of this regulation). "Of course, such an agreement would be a fact about the appraiser that is known to the donor; and a valuation known to be in excess of fair market value but agreed to nonetheless would be not just an incorrect amount but a culpably 'false[]' overstatement of value." *Paul-Adams Quarry*, T.C. Memo. 2025-112, at *36; *see also Mill Rd. 36 Henry, LLC v. Commissioner* (*Mill Rd. I*), T.C. Memo. 2023-129, at *42, *aff'd*, *Mill Rd. 36 Henry, LLC v. Commissioner* (*Mill Rd. II*), No. 24-11334, 2026 WL 2443948 (11th Cir. Aug. 20, 2026).

Although an agreement between donor and appraiser to overstate value is the prototypical trigger for disqualification, "a finding that someone told [the appraiser] what value to find" is not required. *Rock Cliff Rsrv.*, T.C. Memo. 2025-73, at *27. "An agreement can arise by

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 23 of 50

[*23] virtue of acquiescence in a shared goal as well as by response to an explicit instruction." *Oconee Landing*, T.C. Memo. 2024-25, at *44. Or, as we put it more vividly, an "agreement can be confirmed by a wink and a nod as well as by a signature page." *Id.*

As an initial matter, we will evaluate the partnerships' knowledge of Mr. Weibel based on the knowledge possessed by Messrs. Sofge and Hall, as well as the agents through which they acted. Piedmont Manager, owned in equal part by Messrs. Sofge and Hall, served as the manager of both Murphy Hollow and Hales Gap at all relevant times. Mr. Sofge, in turn, was the managing member of Piedmont Manager until May 1, 2018, when Mr. Hall assumed the position.

Although Messrs. Sofge and Hall disclaimed awareness of each other's activities or spheres of influence, we find such testimony incredible. Piedmont Manager involved a two-person leadership team who concocted the fee simple donation strategy and were well aware how that strategy was implemented. The contention that each had his head in the sand at opportune moments so that neither had the full picture of what was happening strikes us as utterly implausible. Their business depended on their shared knowledge of topics including Mr. Weibel's approach to preview numbers and his past valuations, the Bank's appraisals, and the holding period requested of donors.

We thus conclude that, no matter who was technically the managing member of Piedmont Manager at any given time, we will look to the collective knowledge of Messrs. Sofge and Hall (and their agents) in evaluating the knowledge of Murphy Hollow and Hales Gap. We note that in the LLC context, as with partnerships, "notice to or knowledge of any manager of a centrally managed firm or any member of a member-managed firm should be effective against the firm, unless the manager or member was engaged in a fraud against the firm." 1 *Ribstein and Keatinge on Limited Liability Companies* § 11:12 (2026-1 ed.), Westlaw RKLLC.

The evidence before us establishes that Messrs. Sofge and Hall had knowledge of facts about Messrs. Weibel and Von Esh "that would cause a reasonable person to expect [them] falsely to overstate the value of the donated property." Treas. Reg. § 1.170A-13(c)(5)(ii).

We start with the condition Messrs. Sofge and Hall imposed on Southern for any donation, i.e., a mandatory three-year holding period

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 24 of 50

[*24] before the sale of donated property. Mr. Hall credibly explained that this request was meant to avoid the reporting requirement embodied in Form 8282. He understood that the report of a sale within three years would trigger "recast[ing] the deduction amount for our investors' tax returns," unless Southern "sold [the properties] for more than we deducted." Underscoring the desire to dodge the IRS's watchful eye, Mr. Hall acknowledged that he "probably" would not have authorized donation of a property if a donee had not agreed to this holding period. The imposition of this holding period requirement months before Mr. Weibel was to deliver his final appraisals implies that Messrs. Sofge and Hall knew the works of fiction to come as well as the need to prevent sales—and the attendant IRS reporting—that would belie Mr. Weibel's false numbers.

Nor is it surprising that Messrs. Sofge and Hall felt the need to take such measures, as they—like any reasonable person with the facts available to them—had a wholly justified expectation that Messrs. Weibel and Von Esh would deliver falsely overstated values. As part of their arrangement with Mr. Weibel, he was expected to provide a preview valuation number that Messrs. Sofge and Hall would use to determine whether the property could deliver the return promised by their business model (usually $3.50 deduction for every dollar invested). Mr. Hall explained that Mr. Weibel would provide this number in a "short amount of time," perhaps as little as 15 minutes. We struggle to see how numbers provided in such short order could engender anything but skepticism in a reasonable mind.

The evidence regarding Mr. Weibel's actual appraisal work for Messrs. Sofge and Hall tells a similar story. By 2017 Mr. Weibel was Piedmont's house appraiser, told to employ "real estate development" as the highest and best use, with no "wiggle room" to deviate according to Mr. Hall. Before the filing of the Murphy Hollow and Hales Gap returns in March 2018, Mr. Weibel (usually assisted by Mr. Von Esh) had produced at least nine appraisals for Messrs. Sofge and Hall. Most of those appraisals featured a valuation within spitting distance of ten times the original purchase price of the property, with the outlier reflecting a valuation just under eight times the purchase price. Such consistently high valuations would raise the eyebrows of any normal

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 25 of 50

[*25] person, particularly in light of the restriction as to highest and best use.[10]

Removing any shred of doubt, Messrs. Sofge and Hall had access to CBRE appraisals of the properties at issue commissioned by the Bank as part of the revolving loan agreements with the Cumulus Funds. Piedmont tracked these CBRE appraisal numbers, as well as those of Mr. Weibel, on a spreadsheet that was shared with Mr. Sofge. Although Mr. Sofge claimed not to have read the CBRE appraisals or spreadsheet, he admitted to being aware of a significant "mismatch" between CBRE's values and Mr. Weibel's numbers.

Of course, Messrs. Sofge and Hall had intimate knowledge of the gap between reality and Mr. Weibel's values with respect to the Murphy Hollow and Hales Gap properties. Even assuming that Piedmont was unaware that 2,588 acres of Sequatchie Pointe had been listed for sale for $5 million for nearly a year with no takers, Messrs. Sofge and Hall understood that A-1 Sequatchie was offering to sell the property as of April 2016 for $3.5 million, or $1,352 per acre. In late 2016 they bought the Murphy Hollow and Hales Gap properties for $1,803,789 and $1,048,586, respectively, which works out to $1,350 per acre for each. Before (and required for) the purchase, CBRE had appraised the Hales Gap property at $1.05 million and the Murphy Hollow property at $1.85 million. None of these numbers are in the same galaxy as Mr. Weibel's appraisals, which determined a value of $26,725,000 for the Murphy Hollow property and $19,420,000 for the Hales Gap property.[11]

Putting these puzzle pieces together, a coherent picture forms. Mr. Weibel provided inflated numbers detached from reality in order to facilitate the tax deduction scheme of Messrs. Sofge and Hall. Knowing that the market would lay bare the fiction, Messrs. Sofge and Hall strong-armed the donee organization into holding the property for three

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[10] Although we focus on Mr. Weibel, Mr. Von Esh's participation does not contradict our view. Consistent with his normal practice, Mr. Weibel hired Mr. Von Esh as an independent contractor to perform grunt work, with Mr. Weibel retaining authority for all significant decisions including the highest and best use, comparables, and ultimate value determinations. The evidence before us does not show that Messrs. Sofge and Hall saw Mr. Von Esh as an independent actor but rather Mr. Weibel's *aide de camp* on these projects.

[11] We note in passing that the $1.2 million Mr. Meeks ultimately paid for the two properties in 2021 is also light years away.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 26 of 50

[*26] years before sale, thus shielding the overstated valuation from a market-based comparison.

On brief, Piedmont Manager attempts to rejigger the pieces on the board by pointing to Mr. Veal's appraisal review. Mr. Veal identified significant issues, including the use of obsolete data and inapposite comparable sales (both because of age of the sales and the location, size, and type of properties), which led to some revisions of the draft appraisals. These comments and revisions, however, were skin deep, as anyone with Messrs. Sofge and Hall's experience would perceive. For example, in response to Mr. Veal's critiques, the final appraisals substituted some comparable sales, which reduced the average per-acre value of the comparables from $25,860 in the restricted use appraisals to $18,871 for the Murphy Hollow property and $20,163 for the Hales Gap property. Despite the significant reduction in per-acre value based on the purported comparables, the final appraisals nonetheless reverted to the same per-acre value as in the restricted use appraisals, i.e., $20,000 for the Murphy Hollow property and $25,000 for the Hales Gap property. If anything, the inconsistency bred of the attempt to paper over the glaring deficiencies identified by Mr. Veal should have raised red flags, not put any questions to bed.

In light of the evidence before us, we find that there was an unstated agreement between Messrs. Sofge and Hall and Mr. Weibel "by virtue of acquiescence in a shared goal" to pump up property values so as to deliver the promised return to investors. *See Oconee Landing*, T.C. Memo. 2024-25, at *44; *see also Rock Cliff Rsrv.*, T.C. Memo. 2025-73, at *26–27. We find that Messrs. Sofge and Hall knew facts about Mr. Weibel that gave rise to the expectation that he would falsely overstate the values here. We further find that these savvy businessmen were well aware that the actual fair market values of the two properties were a small fraction of the values imagined by Mr. Weibel. We accordingly conclude that he was not a qualified appraiser and find that Murphy Hollow and Hales Gap each failed to obtain qualified appraisals. *See Paul-Adams Quarry*, T.C. Memo. 2025-112, at *36. We thus will disallow each deduction in its entirety for failure to obtain a qualified appraisal. *See* I.R.C. § 170(f)(11)(A), (D), (E)(i)(II), (ii).

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 27 of 50

[*27] III. *Value*

A. *Principles*

We have held that Murphy Hollow and Hales Gap are entitled to charitable contribution deductions of zero for 2017. The proper valuation of each donation is relevant, however, in determining the penalties to which Murphy Hollow and Hales Gap may be subject. *See* I.R.C. § 6662(a), (e), (h) (prescribing 20% penalty for substantial valuation misstatement and 40% penalty for gross valuation misstatement); *see also, e.g.*, *Corning Place Ohio, LLC v. Commissioner* (*Corning Place II*), 158 F.4th 715, 722 (6th Cir. 2025) ("Although Corning Place may not claim a deduction for its easement donation, the size of any tax penalty turns on the value of the easement."), *aff'g Corning Place Ohio, LLC v. Commissioner* (*Corning Place I*), T.C. Memo. 2024-72. On its 2017 return, Murphy Hollow valued its donation at $26,725,000, just a hair over $20,000 per acre, and Hales Gap valued its donation at $19,420,000, slightly north of $25,000 per acre. We now consider the reasonableness of those valuations.

Generally, the amount of a charitable contribution deduction under section 170(a) for a donation of property other than money is the "fair market value" of the property at the time of the donation. Treas. Reg. § 1.170A-1(c)(1); *see also Savannah Shoals, LLC v. Commissioner* (*Savannah Shoals II*), 182 F.4th 1314, 1322 (11th Cir. 2026), *aff'g Savannah Shoals, LLC v. Commissioner* (*Savannah Shoals I*), T.C. Memo. 2024-35; *TOT Prop. Holdings, LLC v. Commissioner*, 1 F.4th 1354, 1369 (11th Cir. 2021). Consistent with the longstanding and well-recognized definition used by courts and appraisers alike, Treasury Regulation § 1.170A-1(c)(2) defines fair market value to be "the price at which the property would change hands between a willing buyer and a willing seller, neither being under any compulsion to buy or sell and both having reasonable knowledge of relevant facts." *See, e.g.*, *Connelly v. United States*, 144 S. Ct. 1406, 1409 (2024); *Anselmo v. Commissioner*, 757 F.2d 1208, 1213 (11th Cir. 1985), *aff'g* 80 T.C. 872 (1983); *Corning Place I*, T.C. Memo. 2024-72, at *27.

The value of property on a certain date is a question of fact to be resolved on the basis of the entire record. *See, e.g.*, *Kaplan v. Commissioner*, 43 T.C. 663, 665 (1965); *see also TOT Prop. Holdings, LLC v. Commissioner*, 1 F.4th at 1369 ("A determination of fair market value is a mixed question of fact and law: the factual premises are subject to a clearly erroneous standard while the legal conclusions are

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 28 of 50

[*28] subject to *de novo* review." (quoting *Palmer Ranch Holdings Ltd. v. Commissioner*, 812 F.3d 982, 994 (11th Cir. 2016), *aff'g in part, rev'g in part and remanding* T.C. Memo. 2014-79)).

In determining a property's fair market value, we must take into account not only the actual use of the property (as of the appraisal date), but also its "highest and best use." *See Savannah Shoals II*, 182 F.4th at 1322; *see also TOT Prop. Holdings, LLC v. Commissioner*, 1 F.4th at 1369–70; *Stanley Works & Subs. v. Commissioner*, 87 T.C. 389, 400 (1986). Although this "concept 'is an element in the determination of fair market value, . . . it does not eliminate the requirement that a hypothetical willing buyer would purchase the subject property for the indicated value.'" *Excelsior Aggregates, LLC v. Commissioner*, T.C. Memo. 2024-60, at *47 (quoting *Boltar, L.L.C. v. Commissioner*, 136 T.C. 326, 336 (2011)); *see also Corning Place I*, T.C. Memo. 2024-72, at *41.

"As the Supreme Court observed long ago, '[a]t best, evidence of value is largely a matter of opinion, especially as to real estate.'" *Paul-Adams Quarry*, T.C. Memo. 2025-112, at *39 (quoting *Mont. Ry. Co. v. Warren*, 137 U.S. 348, 353 (1890)). Murphy Hollow and Hales Gap rely on reports by three expert witnesses: Belinda Sward, an expert in real property market analysis; Kevin Tucker, an expert in land-use planning; and James Clanton, an expert in real estate appraisal. For his part, the Commissioner relied on a valuation report by Leslie Sellers, an expert in real estate appraisal.

We evaluate these opinions in light of each expert's qualifications and the evidence in the record, and we may accept an opinion in full or accept aspects that we find reliable. *See Ranch Springs*, 164 T.C. at 128 (first citing *Helvering v. Nat'l Grocery Co.*, 304 U.S. 282, 295 (1938); and then citing *Boltar*, 136 T.C. at 333–40). We also may determine fair market value on the basis of our own examination of the evidence in the record. *See Ranch Springs*, 164 T.C. at 128.

B. *Highest and Best Use*

1. *Legal Overview*

"To determine a property's highest and best reasonably probable use, the court focuses on '[t]he highest and most profitable use for which the property is adaptable and needed or likely to be needed in the reasonably near future.'" *Palmer Ranch Holdings Ltd. v. Commissioner*, 812 F.3d at 996 (quoting *Symington v. Commissioner*, 87 T.C. 892, 897 (1986)); *accord* Appraisal Institute, *The Appraisal of Real Estate* 327

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 29 of 50

[*29] (15th ed. 2020) ("In any report of a highest and best use conclusion, an appraiser should provide market evidence that leads the reader of the appraisal report to an understanding of the use and the timing . . . for the use."). "The highest and best use inquiry is one of objective probabilities." *Seabrook Prop., LLC v. Commissioner*, T.C. Memo. 2025-6, at *37 (quoting *Esgar Corp. v. Commissioner*, 744 F.3d 648, 657 (10th Cir. 2014), *aff'g* T.C. Memo. 2012-35 *and aff'g Tempel v. Commissioner*, 136 T.C. 341 (2011)); *accord Mill Rd. II*, 2026 WL 2443948, at *6.

As the U.S. Court of Appeals for the Eleventh Circuit recently noted, the highest and best use concept stems from the Supreme Court's decision in *Olson v. United States*, 292 U.S. 246 (1934), an eminent domain case. *See Savannah Shoals II*, 182 F.4th at 1327–30. According to the Eleventh Circuit, the Supreme Court in *Olson* "instructed that '[t]he highest and most profitable use for which the property is adaptable and needed or likely to be needed in the reasonably near future,' *while not itself 'the measure of value,'* was relevant *to the 'extent that the prospect for such use affects the market value.'*" *Id.* at 1328 (emphasis added) (quoting *Olson*, 292 U.S. at 255); *see also Lake Jordan*, T.C. Memo. 2025-123, at *34 (discussing *Olson*).

"[T]o say that a given use is a highest and best one simply connotes that a reasonable purchaser on the date of [valuation] would have considered that use sufficiently available and likely in the future as to be a material consideration in deciding how much to pay for the land." *United States v. An Easement and Right-of-way Over 6.09 Acres*, 140 F. Supp. 3d 1218, 1254 (N.D. Ala. 2015). "[A] 'distinction is to be observed between what land may be worth in the future and what it is now worth in view of the future.'" *Id.* at 1255 (quoting *Slattery Co. v. United States*, 231 F.2d 37, 46 n.11 (5th Cir. 1956)).

To illustrate the interaction between the concepts of fair market value and highest and best use, consider vacant property used as farmland in an area undergoing rapid development and construction of commercial box stores. When determining the fair market value of the land, one would consider not just its current use (farmland) but all other reasonable potential uses, including the property's highest and best use. In our hypothetical, we will assume that the highest and best use of the land is to construct a commercial box store on it.

The fair market value of the land, however, would not be the value of the fully developed commercial box store built on the land. Rather, the fair market value of the land would be the price the market would

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 30 of 50

[*30] pay to acquire the land and unlock the right to develop it as a big box store (or any other possible use). Obviously, the more lucrative and more realistic the highest and best use, the greater the impact that highest and best use will have on the fair market value of the land. Thus, in our hypothetical, if the zoning of our farmland had been changed to allow for the construction of a big box store, most of the surrounding land had already been developed in this fashion, and extensive soil work showed suitability of this parcel for development, this use likely would have a considerable impact on the determination of what someone would pay for the land.

For our part, we have often focused on whether a proposed use is physically possible, legally permissible, financially feasible, and maximally productive. *See, e.g.*, *Paul-Adams Quarry*, T.C. Memo. 2025-112, at *41; *J L Mins., LLC v. Commissioner*, T.C. Memo. 2024-93, at *40–41; *Buckelew Farm, LLC v. Commissioner* (*Buckelew I*), T.C. Memo. 2024-52, at *52, *aff'd*, *Buckelew Farm, LLC v. Commissioner* (*Buckelew II*), No. 24-13268, 2025 WL 2502669 (11th Cir. Sep. 2, 2025). As the Eleventh Circuit has clarified, however, "strict application" of these factors is not required. *See Savannah Shoals II*, 182 F.4th at 1329. "[I]n determining whether the evidence demonstrates a proposed use is 'reasonable and probable' or instead is 'too risky to qualify,'" the Eleventh Circuit has considered "whether it was 'reasonably probable' that a zoning body would approve a proposed use; whether a proposed use was 'needed or likely to be needed in the reasonably near future' (a 'market-demand' inquiry); and whether the physical features and location of a property made the proposed use likely." *Id.* at 1328–29 (first quoting *Palmer Ranch Holdings Ltd. v. Commissioner*, 812 F.3d at 996–99; and then quoting *TOT Prop. Holdings, LLC v. Commissioner*, 1 F.4th at 1369–72).

"Determining the [property's] highest and best use necessitate[s] a look at market demand," *Palmer Ranch Holdings Ltd. v. Commissioner*, 812 F.3d at 998 n.12, which "ties directly to the financial feasibility of a proposed use," *Lake Jordan*, T.C. Memo. 2025-123, at *33 n.14; *accord Savannah Shoals II*, 182 F.4th at 1329–30; *see also* Appraisal Institute, *supra*, at 307 ("[T]he analysis of financial feasibility filters out uses that lack enough demand in the marketplace to compete for consideration as the use with the highest value."). As the Appraisal Institute has pointed out, "[c]lues that supply and demand may not support a particular use include vacancy throughout the market area or no new construction when land is available." Appraisal Institute, *supra*,

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 31 of 50

[*31] at 322. In other words, "[t]he desire for a particular use in a particular location is essential." *Id.*

Before delving into the highest and best use analysis here, we note two overarching principles. First, there is a general presumption that "the current use [of property] amounts to its best use," *Corning Place II*, 158 F.4th at 722, "[b]ecause property owners have an economic incentive to put their land to its most productive use," *Ranch Springs*, 164 T.C. at 136 (collecting authorities); *see also United States v. Buhler*, 305 F.2d 319, 328 (5th Cir. 1962) ("Ordinarily, the highest and best use for property sought to be condemned is the use to which it is subjected at the time of the taking. This is true because economic demands normally result in an owner's putting his land to the most advantageous use.").[12]

Second, "mere speculation and conjecture" cannot inform "the ascertainment of value," and courts should "exclude from consideration any elements affecting value that depend on events or combinations of occurrences which, while within the realm of possibility, are not fairly shown to be reasonably probable." *Savannah Shoals II*, 182 F.4th at 1328 (quoting *Olson*, 292 U.S. at 257); *see also Corning Place II*, 158 F.4th at 723 ("[S]peculative and remote possibilities cannot become a guide for the ascertainment of value . . . ." (quoting *United States ex rel. TVA v. 1.72 Acres of Land*, 821 F.3d 742, 749 (6th Cir. 2016))). "Because of these qualifications, the highest and best use may not be the maximally profitable imaginable use." *Jackson Crossroads LLC v. Commissioner*, Nos. 25-10744, et al., 2026 WL 822261, at *2 (11th Cir. Mar. 25, 2026), *aff'g* T.C. Memo. 2024-111.

"The principle can also be articulated in terms of willingness to pay. If a proposed use is too risky for 'a hypothetical willing buyer [to] consider [the use] in deciding how much to pay for the property,' then the use should not be deemed the highest and best available." *Palmer Ranch Holdings Ltd. v. Commissioner*, 812 F.3d at 1000 n.14 (quoting *Whitehouse Hotel Ltd. P'ship v. Commissioner*, 615 F.3d 321, 335 (5th Cir. 2010), *vacating and remanding* 131 T.C. 112 (2008)).

[12] Decisions from the U.S. Court of Appeals for the Fifth Circuit issued before October 1, 1981, are binding precedent in the Eleventh Circuit. *See Bonner v. City of Prichard*, 661 F.2d 1206, 1209 (11th Cir. 1981) (en banc).

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 32 of 50

[*32] 2. *Analysis*

Piedmont Manager argues that the highest and best use of the two properties was a premium mountain development, with the 1,336.14-acre Murphy Hollow property developed into a "master planned resort style community [of] 1,205 residential units" and the 776.73-acre Hales Gap property developed into an active adult (55 and older) community of 807 residential lots. Piedmont Manager bases its contention on the work of James Clanton, whom we recognized as an expert in real estate appraisal. Like a Russian nesting doll, Mr. Clanton's report relied on a master development plan by Kevin Tucker, a landscape architect whom we recognized as an expert in land-use planning. That report in turn relied on a market demand analysis prepared by Belinda Sward, whom we recognized as an expert in real property market analysis. For his part, Mr. Clanton's report and trial testimony further establish that he relied extensively on Ms. Sward in determining financial feasibility.[13]

The Commissioner argues that the highest and best use of both properties was their then-current limited rural residential, agricultural, or recreational use. For support the Commissioner turns to Leslie Sellers, whom we recognized as an expert in real estate appraisal. The evidence before us tilts convincingly in favor of the Commissioner's view.

a. *Real Talk*

We begin our highest and best use analysis by looking to the behavior of actual market actors at the time of donation. *See J L Mins.*, T.C. Memo. 2024-93, at *44. The record here contains two appraisals procured a year before the donations of the Murphy Hollow and Hales Gap properties: (1) the November 23, 2016, CBRE appraisal for the Bank that was lending the money to be used for (and secured by) the properties, and (2) the December 2016 ArborOne Appraisal, which followed ArborOne's foreclosure on the Sequatchie Pointe property (including the properties at issue in these cases) and subsequent transfer of ownership to a holding company. These appraisals—commissioned by businesses with no stake in this litigation—provide significant insights as to how the market actually viewed these properties. The appraisals strike us as particularly important data points given that they determined similar fair market values for the

[13] At trial, Mr. Clanton sought to distance himself from reliance on Ms. Sward's report. We find his testimony on this point unpersuasive and incredible.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 33 of 50

[*33] properties ($2.9 million by CBRE for the properties at issue and $2 million in the ArborOne Appraisal for the 2,392 acres that included both properties) even though one appraisal was prepared for an entity affiliated with the buyer and the other for an entity affiliated with the seller.[14]

In reaching their fair market value conclusions, these appraisals cast doubt about the properties' development potential, as well as the timing of any such development. Although both recognized that the properties offered panoramic views of Lake Nickajack and the Tennessee River, they did not see the properties as candidates for development in the near future for a whole host of reasons.

Both appraisals identified physical limitations on the properties that would limit development options, concluding that the properties' hilly topography was an obstacle to development. For its part, the CBRE appraisal focused on the lack of utilities, with only electricity available on the properties. The ArborOne Appraisal on the other hand noted that "areas that are considered environmentally sensitive . . . limit all . . . uses."

As *The Appraisal of Real Estate*, on which both parties rely, explains: "In any report of a highest and best use conclusion, an appraiser should provide market evidence that leads the reader [of the appraisal report] to an understanding of the use and the timing . . . for the use." Appraisal Institute, *supra*, at 327. The market evidence in these appraisals suggests that "most investors would not move forward with new construction . . . on a speculative basis," as the CBRE appraisal put it.

Specifically, the CBRE appraisal explained that "the area may not support large scale residential development due to the small population and lack of existing development," pointing out that the immediate neighborhood featured single-family residential use and vacant land with the population expected to experience only slight growth. The ArborOne Appraisal noted the attractiveness of properties

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[14] On brief and at trial, Piedmont Manager suggests that these appraisals should be deemed improper expert reports and excluded. We admitted these documents as relevant evidence of the real estate market's view of the properties (and their potential uses) shortly before the donations. We thus reject Piedmont Manager's argument on brief that we should cabin our review and reliance on this highly persuasive information regarding how actual market participants evaluated the properties at issue—the essence of our inquiry.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 34 of 50

[*34] offering panoramic views and the increasing size of the Chattanooga market but nonetheless explained that competing properties offering similar views were more advantageously located vis-à-vis Chattanooga and that demand for the properties at issue "will not be sufficient to support development until more of those competing developments approach total liquidation with demand shifting to the subject neighborhood." The ArborOne Appraisal concluded that "anticipated property values will increase once national economic trends stabilize and area population growth produce increasing demands for residential, commercial, and industrial property."

Given these assessments of the neighborhood and the abundant supply of similar land available for development, the appraisals unsurprisingly concluded that any residential development would come in the indeterminate future as "economic conditions improve and the neighborhood experiences growth." The contemporaneous, consistent market perspective firmly refutes the notion that the properties were needed or likely to be needed as premium mountain development in the reasonably near future. We further note that this market perspective is aligned with the view of the Commissioner's expert appraiser, Mr. Sellers, who relied on the "slow growth in population and income in the [specific] market area, as well as the evidence of past failed developments" to "infer[] that residential housing development would not be successful."

The behavior of Messrs. Sofge and Hall further belies the purported highest and best use of premium mountain development (of two different stripes). Messrs. Sofge and Hall were hardheaded businessmen who had been involved in real estate deals for decades at the time of these transactions. Neither explained why they would pursue the charitable donation strategy had they believed the properties to be worth Mr. Weibel's stratospheric numbers. The decision to single-mindedly pursue donation rather than development gives the game away and strongly suggests that the highest and best use was not what they now say it is. *See, e.g.*, *Corning Place I*, T.C. Memo. 2024-72, at *38 ("The strongest evidence that the [development] was not 'reasonably probable' is that [the sponsors] never seriously considered this use."); *see also Lake Jordan*, T.C. Memo. 2025-123, at *36.

Nor are we blind to the fact that the previous attempt to develop these properties (and a tad more land) as Sequatchie Pointe ended in ignominious failure. Although Piedmont Manager suggests that Sequatchie Pointe was poorly run and that development of the

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 35 of 50

[*35] properties in other hands would make success a sure thing, it fails to answer why the market did not take another crack at development if success was all but assured.

This evidence convinces us that a premium mountain development did not constitute the properties' highest and best use. Even if we were to ignore this evidence, however, we would still conclude that the properties' highest and best use was not a premium mountain development of the sort proposed because of our concerns over physical possibility and financial feasibility.

b. *Physical Possibility*

The properties' physical characteristics weigh against the coordinated development of the Murphy Hollow property into a "master planned resort style community [of] 1,205 residential units" and the Hales Gap property into an active adult community of 807 residential lots. We will focus on two particular physical weaknesses that make the proposed uses of the properties "too risky to qualify" rather than "reasonable and probable," *Savannah Shoals II*, 182 F.4th at 1328–29, i.e., the hilly topography and the soil issues.

First, the properties' mountainous topography presents a significant challenge to the proposed development. As seen in the attempted Sequatchie Pointe development, the steep slopes make construction very difficult. Detweiler needed to build a road on a steep slope that could serve as the main entrance to the development. Its failure to adequately stabilize the road resulted in a blowout, leading to erosion, pollution, a lawsuit by the State of Tennessee, and ultimately a court order closing the road until such time as it could be brought up to proper standards.

Despite acknowledging the inherent difficulties in building in this area, Piedmont Manager blithely asserts that the issues that bedeviled Sequatchie Pointe could be surmounted by sufficient money and sufficient engineering so that "every mountain and hill shall be made low," as the prophet Isaiah might say. Piedmont Manager, however, fails to present any engineering testimony as to how it would make real Mr. Tucker's plans given the challenging topography, and we will not credit its pure conjecture and speculation that money would cure all ills. *See Savannah Shoals II*, 182 F.4th at 1328; *see also Corning Place II*, 158 F.4th at 723.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 36 of 50

[*36] Second, we are not persuaded that development of the sort contemplated was physically possible because of the properties' soil. Mr. Tucker's reports and plans recognized that the properties had no access to a public wastewater system. To overcome this issue, Mr. Tucker contemplated the use of a Septic Tank Effluent Pumping system. The efficacy of such a system depended on the soil quality, but percolation tests and absorption rate tests were not performed by the soil scientists consulted by Mr. Tucker. Indeed, as detailed at length by the Commissioner's expert, Mr. Sellers, soil information from the United States Department of Agriculture casts significant doubt on the suitability of the soils here for the imagined development.

Piedmont Manager counters that Mr. Tucker, a landscape architect, relied on discussions with engineers and soil scientists who blessed his plans. From what we can glean, these were preliminary discussions and did not involve much, if any, testing by the consulted engineers of the physical suitability of the property. Mr. Tucker routinely demurred in his report and trial testimony to future engineering to work out the nitty-gritty of implementing his plans for the development of the Murphy Hollow and Hales Gap properties at a later stage. This leaves us with nothing but unsupported conjecture that development was physically possible—a particularly risky proposition given the failed development history here.

Piedmont Manager also asserts that the existence of two residential developments in the neighborhood (Jasper Highlands and River Gorge Ranch) suggests that development on the properties at issue was physically possible. On this score as well, Piedmont Manager fails to give us sufficient information as would allow us to conclude that the neighborhood developments were sufficiently similar as to shed light on the physical possibility. Nor did Piedmont Manager provide us with any concrete evidence regarding the physical attributes of those properties or development history of those two projects as might permit us to determine whether they have any relevance in weighing the likelihood of development here. Without knowing much of anything about these other properties, we will not assume that "what one man can do, another can do." *The Edge* (Art Linson Productions 1997). Indeed, the lack of development of vacant land in the neighborhood may suggest that Jasper Highlands and River Gorge Ranch were exceptions, not the rule.

In summary, Piedmont Manager has failed to produce persuasive evidence that the development of the properties as a master planned

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 37 of 50

[*37] resort community or an active adult community would be physically possible.

c. *Financial Feasibility*

Piedmont Manager likewise has not "fairly shown [the use of the properties as a premium mountain development or active adult community] to be reasonably probable" from the perspective of financial feasibility. *Savannah Shoals II*, 182 F.4th at 1328 (quoting *Olson*, 292 U.S. at 257). Our conclusion on this point stems from Piedmont Manager's failure to demonstrate (1) market demand that the properties would be needed or likely to be needed for the contemplated uses in the reasonably near future (of the donation date) and (2) reliable numbers that would support development assuming arguendo that demand existed. *See, e.g.*, *Palmer Ranch Holdings Ltd. v. Commissioner*, 812 F.3d at 998; *see also id.* at 998 n.12.

Starting with market demand, Mr. Sellers, the Commissioner's expert, convincingly explained that there was no demand for large-scale residential development, given the "slow growth in population and income in the [specific] market area, as well as the evidence of past failed developments." Mr. Sellers' conclusion was largely consistent with the 2016 CBRE and ArborOne appraisals, which determined no imminent demand for development, particularly in light of ample supply of similar properties that were closer to Chattanooga.

Piedmont Manager relies on market demand analyses from Ms. Sward and Mr. Clanton. Ms. Sward's work has often been scrutinized and then rejected by this Court. *See Rock Cliff Rsrv.*, T.C. Memo. 2025-73, at *19 ("Ms. Sward's initial reports resembled marketing brochures that appeared to be targeted at potential buyers . . . ."); *Seabrook*, T.C. Memo. 2025-6, at *60 (Ms. Sward's "approach might seem reasonable enough at a high level, but a closer look reveals it to be anything but."); *Oconee Landing*, T.C. Memo. 2024-25, at *64 ("Ms. Sward's 'market analysis' left us completely unconvinced."). So too here.

Ms. Sward's reports include general data about the national economy and housing market, as well as the Chattanooga economy (focusing on tourism) and housing market (concentrating on the respective type of development proposed). Ms. Sward, however, does not address the obvious differences in population, economy, and housing between Hamilton County, where Chattanooga itself is located, and Marion County, where the properties are located. Although relatively

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 38 of 50

[*38] near as the crow flies, that crow would have to fly over rugged terrain that (as of the donation date) had seen little of the positive population, housing, or economic trends prevalent in Chattanooga proper.

In her reports, Ms. Sward selected a type of development for each of the properties (luxury residential community for the Murphy Hollow property, active adult community for the Hales Gap property) with no real explanation why. As the Appraisal Institute has noted, however, "[t]he desire for a particular use in a particular location is essential." Appraisal Institute, *supra*, at 322. Ms. Sward seems to invert this concept, picking a use and then trying to find market data that might support it (if one squints hard enough).

Mr. Clanton's market demand analysis fares no better. Even crediting his trial testimony that his analysis was wholly independent of Ms. Sward's (testimony that we have found not credible, *see supra* note 13), Mr. Clanton nonetheless follows a similar path, relying on general national and regional data that has little relevance to the rural neighborhood in which the properties are situated. Mr. Clanton then proceeds to a "neighborhood analysis" that jumps without explanation to the consideration of "two primary developments that are considered to be direct competition, Jasper Highlands . . . and Black Creek." In so doing, Mr. Clanton puts the cart firmly before the horse, choosing the competition (and thus the use) before establishing that the market demanded that use in this particular location within the reasonably near future.

Every indication from the market suggests that there was no such demand for development on the properties here. As explained, there was an abundant supply of vacant, undeveloped land in the general neighborhood—with some of this land more favorably positioned vis-à-vis Chattanooga. As Mr. Sellers credibly explained, the properties at issue offered views similar to those from other properties in the area. Although Piedmont Manager and its experts assert that the few developments in the area show proof of concept for the success of a premium mountain community, the evidence instead suggests to us a lack of demand for such use in the reasonably near future (from the donation date). *See* Appraisal Institute, *supra*, at 322 ("Clues that supply and demand may not support a particular use include . . . no new construction when land is available.").

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 39 of 50

[*39] Piedmont Manager's failure to show demand for the contemplated use is not the only fatal flaw with respect to financial feasibility. Mr. Clanton tested the financial feasibility of development of the two properties into a coordinated community (with slightly different emphases) using a lot-absorption income approach. We remain skeptical of the appropriateness of this approach at this stage given the paucity of hard information and the oodles of conjecture necessarily involved. *See, e.g.*, *Ranch Springs*, 164 T.C. at 151 ("The income approach is rarely appropriate when seeking to determine the value of raw land or other undeveloped property with no existing cashflow."); *Corning Place I*, T.C. Memo. 2024-72, at *37 ("Lacking reliable data, the appraiser would have to rely on a lengthy series of assumptions, estimates, and guesstimates."); *Savannah Shoals I*, T.C. Memo. 2024-35, at *36 ("Income valuation methods are not favored when valuing vacant land with no income-producing history because they are inherently speculative and unreliable."); *Easement and Right-of-way Over 6.09 Acres*, 140 F. Supp. 3d at 1255 ("Such a valuation calculation . . . requires . . . more than just that a hypothetical purchaser at the time of the taking would consider development potential; it generally requires that [the] landowner demonstrate that [the] subdivision of the unimproved land was reasonably certain in the near future at the time of the taking.").

"When the income approach is used, the Court must examine the plausibility of the critical assumptions made by the appraiser." *Ranch Springs*, 164 T.C. at 151 (citing *Kiva Dunes Conservation, LLC v. Commissioner*, T.C. Memo. 2009-145, 97 T.C.M. (CCH) 1818, 1820). "As interdependent assumptions multiply, the risk of error can increase exponentially . . . ." *Id.* at 151–52 (citing *Whitehouse Hotel Ltd. P'ship v. Commissioner*, 139 T.C. 304, 323 (2012), *aff'd in part, vacated in part and remanded*, 755 F.3d 236 (5th Cir. 2014)).

In conducting his test of financial feasibility, Mr. Clanton relied in his reports on average development costs derived from eight purported comparable subdivisions in Georgia and Florida, as well as estimated costs provided by Mr. Tucker. Mr. Clanton fails to persuade us that his average costs adequately reflect the difficulties (and higher costs) inherent in developing these steep properties with questionable soils. As Piedmont Manager acknowledged on brief, development of these properties would be challenging—a point underscored by the failure of Sequatchie Pointe and the high expenses incurred in developing Jasper Highlands, according to Mr. Sellers. We have no

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 40 of 50

[*40] confidence that Mr. Clanton's average is representative of the costs incurred for a development in these challenging conditions.

We are likewise unpersuaded that Mr. Tucker's estimates give a full picture of the necessary costs. In his plan, report, and testimony, Mr. Tucker answered few of the many engineering questions that would dictate a proper calculation of costs. We find his estimates to be pure speculation and will give them no heed.

The unreliable cost estimates by themselves doom Mr. Clanton's flights of fancy. There is more, however. We are also unconvinced by the income side of the ledger, which stems from Ms. Sward's lot absorption work.

For each of the properties at issue, Ms. Sward performed a housing demand analysis to evaluate sales absorption. For the Murphy Hollow property, Ms. Sward identified demand from (1) visitors to the area, (2) income-qualified households moving to the area, and (3) turnover of existing households. As was the case in *Seabrook*, T.C. Memo. 2025-6, at *65, Ms. Sward's analysis of the first of these demand categories depended on (1) a "conversion ratio" derived from the number of home sales and annual visitors in the Chattanooga metropolitan area and (2) a percentage rate of capture by the Murphy Hollow property. Ms. Sward failed to adduce any support for her conversion ratio, "nor does she attempt to establish any correlation between the two numbers." *Id.* Her capture rate similarly lacks any underpinning, just as in our previous brush with her work. *Id.*

Ms. Sward's analysis of active adult housing demand for the Hales Gap property was just as shaky. Ms. Sward calculated an annual total demand potential for active adult community housing at 8,721 and assumed that the Hales Gap property would capture 12.5% of the market because there were no other active adult communities around. Ms. Sward of course did not consider the possibility that there were no active adult communities because of insufficient demand, which strikes us as a strong likelihood.

In any event, we have no confidence in her numbers, which she derived from consumer sentiment surveys and from questionable assumptions, that the percentage of annual new households and household formations in Chattanooga that could be attributed to active adults tracked their overall percentage in the community. And Ms.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 41 of 50

[*41] Sward used an unsupported capture rate as unpersuasive in this context as it was with respect to the Murphy Hollow property.

At trial, Mr. Clanton attempted to backpedal from his reliance on Ms. Sward's unreliable work. Without this underpinning, however, his income analyses stray even further into the realm of conjecture and speculation.

In short, Mr. Clanton's testing of financial feasibility fails on multiple levels. Piedmont Manager has established neither demand for the developments of the sort described nor whether such development in the reasonably near future would be income positive.

d. *Conclusion*

We accordingly find that the highest and best use of the properties was their then-current limited rural residential, agricultural, or recreational uses.

C. *Valuation of the Donated Properties*

Having determined the highest and best use of the property, we next turn to determining its value. Actual arm's-length sales occurring sufficiently close to the valuation date generally are the best evidence of value, and typically dispositive, over other valuation methods. *See Buckelew I*, T.C. Memo. 2024-52, at *56; *see also Corning Place I*, T.C. Memo. 2024-72, at *28; *Excelsior Aggregates*, T.C. Memo. 2024-60, at *31 ("The best evidence of a property's FMV is the price at which it changed hands in an arm's-length transaction reasonably close in time to the valuation date."); Appraisal Institute, *supra*, at 357 ("When an opinion of market value is to be developed, appraisers must *analyze* all sales of the subject property that occurred in the three years prior to the date of value [and] any agreement of sale (contracts), options, and listings that are current as of the effective date of appraisal.").

For these purposes, both we and the Eleventh Circuit have found the purchase price for a partnership interest reflective of the "price that the market would pay for the Subject Property, especially when the ownership interest was nearly 100% and the only asset held by the Partnership was the Subject Property itself." *Buckelew I*, T.C. Memo. 2024-52, at *56; *see also Savannah Shoals II*, 182 F.4th at 1332 n.15 ("We have considered such a recent arm's-length sale 'overwhelmingly significant' . . . support for the tax court's highest-and-best-use determination leading to its valuation." (quoting *TOT Prop. Holdings,*

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 42 of 50

[*42] *LLC v. Commissioner*, 1 F.4th at 1371)); *Oconee Landing,* T.C. Memo. 2024-25, at *71–72.

In addition to previous sales, we often draw on one or more of three common approaches to determine the fair market value of a piece of real property: (1) the market, or comparable sales approach; (2) the income approach; and (3) a cost, or an asset-based approach. *See Ranch Springs*, 164 T.C. at 134–35; *see, e.g.*, *Savannah Shoals I*, T.C. Memo. 2024-35, at *34–36. Our decision on which approach (or approaches) to use is a question of law, and the utility of the various approaches can vary according to the type of property at issue. *See Chapman Glen Ltd. v. Commissioner*, 140 T.C. 294, 325–26 (2013); *see also Corning Place I*, T.C. Memo. 2024-72, at *31–32. Both parties here rely exclusively on the comparable sales approach, and we follow their lead.

1. *Comparable Sales Approach*

a. *Legal Background*

The comparable sales approach "values property by comparing it to similar properties sold in arm's-length transactions around the valuation date." *Savannah Shoals I*, T.C. Memo. 2024-35, at *36; *accord Ranch Springs*, 164 T.C. at 143. This method is usually the most reliable indicator of value when sufficient information exists about sales of properties resembling the subject property. *See United States v. 320.0 Acres, More or Less*, 605 F.2d 762, 798 (5th Cir. 1979) ("Courts have consistently recognized that, in general, comparable sales constitute the best evidence of market value."); *see also Mountain Valley Pipeline, LLC v. 9.89 Acres of Land*, 127 F.4th 437, 441 (4th Cir. 2025) ("Comparable sales are generally accepted as the best evidence of property value." (citing *United States v. 269 Acres of Land*, 995 F.3d 152, 164 (4th Cir. 2021))); *United States v. L.E. Cooke Co.*, 991 F.2d 336, 342 (6th Cir. 1993) ("In land condemnation proceedings, the comparable sales method of valuation is the preferred approach of establishing the fair market value of property."); *First Nat'l Bank of Kenosha v. United States*, 763 F.2d 891, 896 (7th Cir. 1985) ("Generally, evidence of sales of comparable property is persuasive evidence of market value, either as direct proof or in support of an expert's opinion." (quoting *United States v. 1,129.75 Acres of Land*, 473 F.2d 996, 998 (8th Cir. 1973))); *Whitehouse Hotel*, 139 T.C. at 324–25 (stating that other valuation methodologies are "not favored if comparable-sales data are available"). "[C]omparability is largely a function of three variables: [the]

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 43 of 50

[*43] characteristics of the properties, their geographic proximity to one another, and the time differential [between the sales]." *Mill Rd. II*, 2026 WL 2443948, at *6 (alterations in original) (quoting *320.0 Acres, More or Less*, 605 F.2d at 798).

"The comparable sales method is based on the 'principle of substitution.'" *Ranch Springs*, 164 T.C. at 143. That principle stands for the proposition that "the value of a property can be estimated at the cost of acquiring an equally desirable substitute." *Mill Rd. I*, T.C. Memo. 2023-129, at *51; *see also Buckelew II*, 2025 WL 2502669, at *7 ("[T]here is little reason to think a willing buyer would have paid $32,600 per acre for the Property [at issue]. After all, a buyer could simply purchase substitute properties for exponentially less: per-acre prices ranging from $1,602 to $4,971."); *Buckelew I*, T.C. Memo. 2024-52, at *50 n.25, *55 ("[T]he principle of substitution . . . stands for the proposition that a hypothetical buyer will not pay more for a given property when an alternative property is available for less."); *Estate of Rabe v. Commissioner*, T.C. Memo. 1975-26, 34 T.C.M. (CCH) 117, 119 ("[A] prudent man will pay no more for a given property than he would for a similar property."), *aff'd*, 566 F.2d 1183 (9th Cir. 1977) (unpublished table decision).

"In the case of vacant, unimproved property . . . the comparable sales approach is 'generally the most reliable method of valuation . . . .'" *Oconee Landing*, T.C. Memo. 2024-25, at *67 (quoting *Estate of Spruill v. Commissioner*, 88 T.C. 1197, 1229 n.24 (1987)). "[T]he market place is the best indicator of value, based on the conflicting interests of many buyers and sellers." *Estate of Spruill*, 88 T.C. at 1229 n.24 (quoting *Estate of Rabe*, 34 T.C.M. (CCH) at 119). Although both parties rely on the comparable sales method, they diverge in the nature of the comparables consistent with their respective highest and best uses.

b. *Analysis*

For his part, Mr. Sellers looked to vacant land sales of at least 200 acres in Marion County and adjoining counties, whittling down his findings to eight comparable sales chosen based on similar "locational, physical, and legal attributes to the subject, with consideration also given to the date of sale." The comparable sales ranged between 424 acres and 4,133 acres with price-per-acre values between $874 and $1,417.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 44 of 50

[*44] Mr. Sellers looked at potential adjustments to the price-per-acre value to account for differences in the properties, but overall found none relevant. Specifically, Mr. Sellers saw no quantifiable change in market conditions during the period he searched, i.e., 2012 until December 27, 2017. He further determined that his comparables featured topography, access, and frontage similar to those of the properties, and that the relative differences in size did not produce a "measurable difference in price." Mr. Sellers did note that two of the properties had access to utilities, which resulted in his deeming those properties superior to the subject properties.

Mr. Sellers gave greatest weight to four sales, two of which were the 2016 sales of the Murphy Hollow and Hales Gap properties. He concluded that the indicated per-acre value for each of the properties was $1,350, resulting in a fair market value of $1,815,000 for the Murphy Hollow property and $1,050,000 for the Hales Gap property.

Piedmont Manager critiques Mr. Sellers on the grounds that he excluded certain high-value sales, failed to properly adjust the comparables that he chose, and ignored the effect of the bank's foreclosure. Although Piedmont Manager castigates Mr. Sellers for excluding sales with higher per-acre prices, Mr. Sellers explained that those properties had vastly different attributes that rendered them not comparable. With respect to at least two of these properties, Mr. Clanton implicitly agreed as shown by his own decision not to designate them as comparable.

Piedmont Manager further asserts that Mr. Sellers failed to make proper adjustments to reflect the differences between his comparable sales and the properties at issue. Mr. Sellers explained in his reports and at trial that he accounted for the minimal differences that he saw in the comparable properties by weighting the sales according to their attributes. Again, we see no error.

Piedmont Manager finally argues that Mr. Sellers neglected to adjust the 2016 Murphy Hollow and Hales Gap property sales to account for the fact that the properties were being sold after foreclosure. Piedmont Manager makes a convincing argument that a bank's desire to rid its books of foreclosed assets may skew prices lower than the actual fair market values.

That being said, we do not believe a large adjustment is appropriate. ArborOne foreclosed on the Sequatchie Pointe property in

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 45 of 50

[*45] October 2011 and then waited nearly four years before the resolution of various legal obstacles allowed it to proceed with disposition of the property (acting through A-1 Sequatchie). Even then, A-1 Sequatchie did not give away the store, but listed 2,588 acres of the Sequatchie Pointe property for $5 million, or $1,932 per acre, in July 2015, only dropping the price to $3.5 million, or $1,352 per acre in April 2016. This relatively languid pace belies the notion that A-1 Sequatchie was chomping at the bit to rid ArborOne's books of these properties.

In this circumstance, we believe a 15% adjustment to the per-acre value to be appropriate. We derive this percentage from Mr. Clanton's reports, which applied this percentage adjustment in the context of sales of purportedly comparable properties previously acquired through foreclosure. We thus conclude that the per-acre fair market value of the properties was $1,553, and that the fair market value of the Murphy Hollow property was $2,075,025 (1,336.14 acres × $1,553) and the Hales Gap property was $1,206,262 (776.73 acres × $1,553).

For its part, Piedmont Manager relies on Mr. Clanton, who based his selection of comparable sales on the properties' purported highest and best uses as a luxury residential development (Murphy Hollow) and an active-adult community (Hales Gap). Unsurprisingly given his incorrect focus, these purported comparables bear few similarities to the properties at issue. The two properties he picked in Tennessee were in Chattanooga itself (with frontage on the Tennessee River) and outside Dollywood, offering marked contrasts to the rural and mountainous properties at issue. From there, Mr. Clanton ranged across the Southeast, gathering land used for residential developments from as far away as South Carolina and Florida. The properties are simply not comparable to the properties at issue here, and we thus reject Mr. Clanton's comparable sales analysis.

We pause to note that, even if we were to deem residential development to be the highest and best use of the properties, our conclusion as to the value would remain the same. Returning to our example of a piece of property that could be developed as a commercial box store, *see supra* Opinion Part III.B.1, the additional value accruing to the land as a result of its potential use for a commercial box store would be expected to be reflected in the prices of similar property recently sold in the area. Since those properties too could be used for commercial box stores, the value the market placed on that particular use would be incorporated in the prices at which they changed hands in transactions among unrelated parties. *See Buckelew II*, 2025 WL

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 46 of 50

[*46] 2502669, at *7 (opining that, if the market had assigned value to development potential, "other properties' values would have reflected that reality in their sales prices").

Trial testimony regarding Jasper Highlands and River Gorge Ranch, two properties seen by Piedmont Manager as proof of concept for residential development, illustrates this point. As Mr. Sellers explained at trial, to assemble the land for the former property, a developer purchased 5,300 acres for $1,500 per acre and an additional 3,000 acres for $1,243 per acre in January 2008. With respect to River Gorge Ranch, the same developer in 2021 bought 6,400 acres for $1,600 per acre. The fair market value thus incorporates the value the market placed on the use as a potential development.

The fact that the fair market value does not reflect the untold riches imagined by Piedmont Manager is basic economics, as the Seventh Circuit explained years ago. To wit, "even a 'small' number of [rival landowners with property equally suitable for development] allows the developer to capture the returns" by "chisel[ing] the price down." *Van Zelst v. Commissioner*, 100 F.3d 1259, 1263 (7th Cir. 1996), *aff'g* T.C. Memo. 1995-396. Where "*land* is not a scarce resource . . . financing and entrepreneurship are the scarce ingredients, so they will capture the economic return." *Id.*

Nor has Piedmont Manager persuaded us that the land is unique in the marketplace as might suggest a higher price. *See, e.g.*, *Corning Place I*, T.C. Memo. 2024-72, at *38. There was no shortage of alternative development sites, including sites that were more favorably located in relation to Chattanooga, as the ArborOne Appraisal pointed out. *See Mill Rd. II*, 2026 WL 2443948, at *7 (finding that the Tax Court "reasonably concluded" that no developer would have contemplated paying $200,000 per acre for undeveloped land for an assisted-living facility where similar undeveloped land could be obtained for $6,000 to $10,000 per acre); *see also Corning Place II*, 158 F.4th at 723; *Whitehouse Hotel*, 139 T.C. at 335 (finding that the taxpayer "failed to show that, on the valuation date, there was any scarcity of buildings . . . suitable for development as luxury hotels").

2. *Other Sales Data*

The results of actual transactions involving the properties provide further evidence of the proper pre-donation values. Just a year before the donations, A-1 Sequatchie sold the properties to Murphy Hollow and

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 47 of 50

[*47] Hales Gap for $1,803,789 and $1,048,586, respectively, which works out to $1,350 per acre for each. The fact that sophisticated parties acting at arm's length determined this value for the properties is both probative and supportive of Mr. Sellers's value conclusion, despite the modest adjustment that we previously deemed appropriate.

Our conclusion on this point draws further support from Southern's sale of the properties to Mr. Meeks for $1.2 million after the expiration of the three-year holding period. This sale came with no strings attached, with Mr. Meeks using the property to sell timber. "In general, while, all else being equal, sales occurring within a reasonable time before the valuation date might be preferable, sales occurring within a reasonable time after the valuation date may be used so long as the relevant market conditions have not materially changed." *Paul-Adams Quarry*, T.C. Memo. 2025-112, at *82; *see also United States v. 0.161 Acres of Land*, 837 F.2d 1036, 1044 (11th Cir. 1988) ("There is no absolute rule which precludes consideration of subsequent sales. The general rule is that evidence . . . of all [similar sales in the vicinity made at or about the same time] should generally be admissible . . . including subsequent sales." (quoting *United States v. 320.0 Acres, More or Less*, 605 F.2d at 799)); *First Nat'l Bank of Kenosha*, 763 F.2d at 894. We find this postdonation evidence to be probative as to the value determination and to further undermine Piedmont Manager's assault on the per-acre price.[15]

In short, the actual dealings with respect to these properties offers no support for Piedmont Manager's position and considerable confirmation for the Commissioner's view.

3. *Conclusion*

After considering the evidence before us and the parties' arguments, we find Mr. Sellers's analysis and conclusions persuasive. We accordingly conclude that the value of the Murphy Hollow property

[15] Piedmont Manager argues that Southern sold the property to Mr. Meeks for $1.2 million (approximately $568 per acre) because he expressed a desire to potentially use the property as a summer camp at some point in the future. We note that Mr. Meeks further testified that Southern offered him the property after a sale for $2.4 million (approximately $1,136 per acre) fell through. Piedmont Manager fails to present any evidence from Southern as to its thought process, and we will not credit Mr. Meeks's speculation.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 48 of 50

[*48] at the time of donation was $2,075,025 and the value of the Hales Gap property was $1,206,262.

IV. *Penalties*

The Code imposes a penalty on the "portion of any underpayment [of tax] which is attributable to . . . [a]ny substantial valuation misstatement." I.R.C. § 6662(a), (b)(3). A misstatement is "substantial" if the value of the property claimed on a return is 150% or more of the correct amount. I.R.C. § 6662(e)(1)(A). The penalty is increased to 40% in the case of a "gross valuation misstatement." I.R.C. § 6662(h). A misstatement is "gross" if the value of property claimed on the return is 200% or more of the correct amount. I.R.C. § 6662(h)(2)(A)(i).

On its 2017 partnership return, Murphy Hollow claimed a donation value of $26,725,000, while Hales Gap claimed a value of $19,420,000. We have determined that the actual values were $2,075,025 for the Murphy Hollow property and $1,206,262 for the Hales Gap property. The Murphy Hollow donation value was 1,288% of the correct amount, while the Hales Gap value was 1,610%. The valuation misstatements qualify as "gross."

Generally, an accuracy-related penalty is not imposed if the taxpayer demonstrates "reasonable cause" and shows that he "acted in good faith with respect to [the underpayment]." I.R.C. § 6664(c)(1). This defense may be available where a taxpayer makes a "substantial" valuation overstatement with respect to charitable contribution property. *See* I.R.C. § 6664(c)(3) (second sentence). But this defense is not available where the overstatement is "gross." *See* I.R.C. § 6664(c)(3) (first sentence). The 40% penalty thus applies to the portion of any underpayment attributable to claiming a value for the Murphy Hollow donation in excess of $2,075,025 and to claiming a value for the Hales Gap donation in excess of $1,206,262.

The Commissioner further seeks a 20% penalty against Murphy Hollow for the portion of the underpayments attributable to a substantial understatement of income tax or negligence or disregard of rules or regulations. *See* I.R.C. § 6662(a) and (b)(1) and (2).[16] This

[16] The determination of an "underpayment" within the meaning of section 6662(a) cannot be made at the partnership level because partnerships do not pay tax. *Plateau Holdings, LLC v. Commissioner*, T.C. Memo. 2021-133, at *4. Rather, the determination of an "underpayment" is determined at the partner level. We can, however, determine at the partnership level the applicability of the penalty. *See*

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 49 of 50

[*49] penalty would apply to what might be called the "lower tranche" of the underpayment, i.e., the portion of the underpayment that is not attributable to the valuation misstatement. *See Seabrook*, T.C. Memo. 2025-6, at *77; *see also Corning Place I*, T.C. Memo. 2024-72, at *45. The 20% penalty would apply, in other words, to the portion of the underpayment resulting from our conclusion that Murphy Hollow is not entitled to a deduction of $2,075,025 (corresponding to the true value of the donation), because it failed to obtain the requisite qualified appraisal.

An understatement of income tax is substantial if it exceeds the greater of "10 percent of the tax required to be shown on the return for the taxable year" or $5,000. I.R.C. § 6662(d)(1)(A). This penalty thus would apply to the extent that any substantial understatement is attributable to the disallowance of the charitable contribution deductions in toto.

We hold in the alternative, and to the extent that the understatement for any partner attributable to this deduction is small enough that it does not count as "substantial," that the underpayment is attributable to negligence. Negligence is defined as "any failure to make a reasonable attempt to comply with the provisions of this title [26]," I.R.C. § 6662(c), and includes any failure "to keep adequate books and records or to substantiate items properly," Treas. Reg. § 1.6662-3(b)(1). "[D]isregard of rules or regulations" includes "any careless, reckless, or intentional disregard." I.R.C. § 6662(c). The existence of negligence is determined at the partnership level. *See Oakbrook Land Holdings, LLC v. Commissioner*, T.C. Memo. 2020-54, at *42; Treas. Reg. § 301.6221-1(c). Considering Messrs. Sofge's and Hall's knowledge of facts that would cause a reasonable person to expect Mr. Weibel falsely to overstate the value of the donated property, we find that Murphy Hollow failed to make a reasonable attempt to comply with the provisions of the Code.

The "reasonable cause" defense may be asserted against the substantial understatement and negligence penalties. *See* I.R.C. § 6664(c)(1). The determination of reasonable cause is made on a case-by-case basis, taking into account all pertinent facts and circumstances. Treas. Reg. § 1.6664-4(b)(1). Murphy Hollow bears the burden of

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Dynamo Holdings Ltd. P'ship v. Commissioner, 150 T.C. 224, 233 (2018); *Oconee Landing*, T.C. Memo. 2024-25, at *75.

taxnotes
DOCUMENT SERVICE
Doc 2026-31542
Page: 50 of 50

[*50] proving that it had reasonable cause and acted in good faith. *See Higbee v. Commissioner*, 116 T.C. 438, 449 (2001).

We conclude that Murphy Hollow has not established "reasonable cause." We have already determined that Messrs. Sofge and Hall, who had ultimate authority over Murphy Hollow, "had knowledge of facts that would cause a reasonable person to expect the appraiser falsely to overstate the value of the donated property." *See* Treas. Reg. § 1.170A-13(c)(5)(ii). Murphy Hollow accordingly fails to show the exercise of ordinary business care and prudence with respect to Mr. Weibel's appraisal. *See Crimi v. Commissioner*, T.C. Memo. 2013-51, at *99. We accordingly reject the reasonable cause defense with respect to the disallowed deduction.

V. *Conclusion*

We conclude that neither Murphy Hollow nor Hales Gap is entitled to a charitable contribution deduction for its respective donation, and we find that the donated properties were grossly overvalued, making the 40% gross valuation misstatement penalty applicable. The 20% penalty applies to the remainder of the disallowed deduction for Murphy Hollow.

To reflect the foregoing,

Decisions will be entered under Rule 155.